Attention and the Formation of Economic Narratives*

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Abstract

Households face competing narratives about what causes inflation, but little is known about which ones they attend to and how this shapes their expectations. Expert survey data show that inflation narratives compete within and across experts rather than converging on a consensus. I model how households allocate scarce attention across these narratives and test the predictions in two pre-registered survey experiments with U.S. households. Households read longer about narratives they understand less well but choose to learn about the narrative they believe contributes most to inflation. Attention shapes beliefs: households shift more weight toward a narrative the longer they read it, and those more attentive to the tariff narrative revise their inflation expectations more strongly after a randomized tariff forecast. Embedding gradually revised narratives in an otherwise conventional New Keynesian model dampens the initial inflation response, but prolongs the impact duration.

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1 Introduction

Households face competing explanations—narratives—for how the economy evolves. Inflation is a prominent example: public discourse has offered several causal accounts, from tariffs and energy prices to government spending. Narratives of this kind shift households' inflation expectations (Andre et al., 2026), and households express substantial demand for them (Blesse et al., 2026). Yet no household can attend to all of them, and little is known about which narratives households attend to and whether this choice matters for how they form expectations. If attention to narratives is selective, two households that receive the same information—for instance, news about the level of import tariffs—may interpret it through different narratives and revise their expectations differently.

This paper studies the determinants and consequences of households' attention to competing inflation narratives. Motivated by survey evidence that U.S. experts hold dispersed and shifting views on the causes of inflation, I develop a framework in which households' prior beliefs about each narrative govern attention at two margins. When households allocate attention across narratives presented to them, they spend more time on the narrative they understand less well, because information is more valuable where prior uncertainty is higher. When they instead choose which narrative to acquire additional information about, they select the narrative they believe contributes most to inflation. The two margins therefore respond to different beliefs: uncertainty governs how long households read, and perceived importance governs what they seek out.

I test these predictions in two pre-registered survey experiments with U.S. households. Before any treatment, respondents report (i) the share of inflation they attribute to each narrative and (ii) how well they understand each narrative and its impact on inflation. When respondents read two competing expert narratives, they are 5.5 percentage points less likely to spend more time on the narrative they understand better. When they instead choose which narrative to learn more about, a one-standard-deviation increase in perceived contribution raises the probability of choosing a narrative by 8.7 percentage points, against a baseline of one in three, while understanding plays no detectable role. Strikingly, respondents who choose by perceived contribution then read by uncertainty: conditional on their choice, they spend more time on narratives they understand less well. Households thus decide where to look by what they believe matters, and how closely to read by what they do not yet understand.

Next, I study the consequences of attention for belief formation. After the narrative treatment, I re-elicit respondents' perceived contribution of each narrative. Respondents update toward the narratives they read, and more so when they read them longer: reading a narrative raises its weight by 6.3 percentage points among respondents with above-median reading time, compared with 3.8 points among the others. A second randomized treatment

then shows respondents either a high (23%) or a low (15%) expert forecast for U.S. import tariffs. The high forecast raises 12-month-ahead inflation expectations by 1.3 percentage points, and the effect is four times larger among respondents who read the tariff narrative longer. How households process macroeconomic news therefore depends on the narratives they have attended to.

In a final step, I trace out what sticky narratives imply for aggregate inflation. In a New Keynesian model in which a narrative shapes inflation expectations through the persistence households ascribe to the causes of inflation (Andre et al., 2026), a temporary public narrative that blames a transitory cause for a persistent shock lowers inflation. The speed at which households revise their narrative governs when this effect materializes rather than how large it is.

To document the supply of inflation narratives, I survey a natural source of the narratives that reach households: economists. Using the Economic Experts Survey (EES), the largest global survey of economists, I study how U.S. experts attribute current inflation across its drivers in 2025. Two facts emerge. First, narratives compete within experts: the average expert assigns positive weight to 4.3 drivers, and 80 percent of experts put at most half of their allocation on a single driver. Second, narratives compete across experts: tariffs are the largest driver for 42 percent of responses and government spending for 22 percent, and the dispersion of weights across experts is of the same order of magnitude as the average weights. I use the three narratives with the largest average weights—tariffs and trade conflicts, government spending, and government mismanagement—as the treatments of the first household survey. Households therefore face a contested supply of narratives rather than a single consensus explanation, and this is the environment in which I study their attention.

To formalize how households pay attention to competing narratives, I develop a framework of attention to inflation narratives. Households hold a mental model in which each narrative contributes a share to inflation, and they are uncertain about how each narrative operates and how large its impact is. When multiple narratives are presented to them, an additional unit of attention is worth most where prior uncertainty is highest; holding the cost of attention fixed, households therefore shift attention toward the narrative they understand less well. When households instead search for information, the value of resolving uncertainty about a narrative scales with the share of inflation they attribute to it, so they choose the narrative they perceive as contributing most to inflation. The same prior beliefs thus govern the two margins of attention in different ways, and the survey design elicits both before any treatment.

Guided by the framework, I field two pre-registered survey experiments: a survey of 3,002 respondents, broadly representative of the U.S. population, fielded with Bilendi/Respondi

in August 2025, and a second survey of 400 U.S. respondents recruited through Prolific in September 2026. Both surveys begin by eliciting respondents' own inflation narratives in two steps that map into the framework. First, respondents distribute 100 points across nine potential drivers of inflation according to how much each currently contributes; this measures perceived contribution. Second, respondents rank the same narratives by how well they understand each narrative and its impact on inflation; this measures the inverse of prior uncertainty. The ranking forces a comparative statement, which matches the framework's focus on the allocation of attention across narratives. Relative to existing elicitations of inflation narratives, which rely on open-ended questions (Andre et al., 2026), this design quantifies households' narratives and maps them directly into their mental models.

The first survey studies how respondents allocate attention across competing narratives. Each respondent is randomly exposed to two of three expert narratives—tariffs and trade conflicts, government spending, and government mismanagement—the three narratives with the largest weights among 127 U.S. experts in mid-2025. The narratives are similar in length and complexity and appear on separate screens, and I measure attention as the time a respondent spends on each narrative screen; the median respondent spends 40 seconds on both screens combined. Exploiting within-respondent variation, I find that respondents are 5.5 percentage points less likely to spend more time on the narrative they understand better than on the other narrative shown. Perceived contribution, by contrast, does not raise reading time. A natural concern is that longer reading times reflect difficulty in comprehending a narrative rather than attention. Post-treatment recall speaks against this interpretation: recall is substantially higher among respondents who read a narrative for at least 20 seconds. Prior uncertainty thus drives how households allocate attention across competing narratives, consistent with the first prediction of the framework.

The second survey turns to the acquisition margin. Before seeing any narrative, respondents choose one of three narratives—tariffs, government spending, or energy prices—to receive information about, and they read the requested narrative on the following screen. Respondents strongly prefer to acquire the narrative they already consider most important for inflation: a one-standard-deviation increase in perceived contribution raises the probability of choosing a narrative by 8.7 percentage points, and the effect is significant for each of the three narratives. Understanding, by contrast, does not predict the choice. The choice is also persistent: when I recontact respondents about two weeks later, 48 percent choose the same narrative again, against 34 percent if their choices in the two waves were independent. Conditional on the choice, however, respondents spend more time reading the narrative when they understand it less well, which replicates the reading result of the first survey in a new sample. Households therefore select information by perceived contribution and process it by prior uncertainty.

Attention also shapes how strongly respondents revise their own narratives. After the treatment, I re-elicit the perceived contribution of each narrative in a reworded constant-sum question. Because each respondent reads two of three narratives, respondents who did not read a given narrative serve as its control group. Respondents raise the weight on the narratives they read and lower the weight on the narratives they did not read. This updating is larger among respondents who paid more attention: reading a narrative raises its weight by 6.3 percentage points among respondents with above-median reading time on it, compared with 3.8 points among the others (difference $p < 0.01$). Open-ended descriptions of respondents' narratives, elicited after the treatment, show the same pattern more sharply: above-median readers are 12.2 percentage points more likely to cite a narrative they read, about twice the 6.0 points among below-median readers.

Attention to narratives also matters for how households interpret macroeconomic news. In the first survey, a second treatment randomly shows respondents an expert forecast of either 23% or 15% for average U.S. import tariffs. Respondents who receive the high forecast raise their 12-month-ahead inflation expectations by 1.3 percentage points. Among the 1,968 respondents who read the tariff narrative, the response is concentrated among those who read it longer: the high forecast raises their expectations by 1.20 percentage points ($p = 0.01$), compared with 0.29 points among those who read it for less than the median. Splitting respondents by whether tariffs are their dominant posterior narrative yields the same pattern (1.43 versus 0.93 percentage points). This result has direct implications for central bank communication: the same information about a driver of inflation moves expectations more among households who attend to the corresponding narrative.

To explore the macroeconomic implications of sticky narratives, I augment an otherwise conventional New Keynesian model with a household narrative that is revised only gradually. A narrative assigns current inflation to its causes and thereby shapes inflation expectations through the persistence that households ascribe to these causes. Households move toward a temporary public narrative and revert to their original narrative once it fades. When a public narrative attributes a persistent shock partly to a transitory cause, inflation falls below its rational-expectations path. The speed of narrative revision governs the timing rather than the size of this effect: slower revision delays the peak and prolongs the return to the rational-expectations path after the public narrative has disappeared. Narratives about transitory shocks, by contrast, have small and short-lived consequences.

Related Literature This paper contributes to four strands of the literature. First, it brings macroeconomic narratives into the theory and measurement of attention (Gabaix, 2019; Maćkowiak, Matějka and Wiederholt, 2023; Loewenstein and Wojtowicz, 2025). The reading problem is a linear-quadratic-Gaussian rational inattention problem in the tradition of Sims (2003) and Maćkowiak and Wiederholt (2009), applied to a choice among competing

causal explanations, and the acquisition result applies the general finding that the demand for information rises with the stakes (Maćkowiak, Matějka and Wiederholt, 2023). Empirical work studies how individuals allocate attention across macroeconomic variables (Link et al., 2026) and how the level of inflation triggers attention (Bracha and Tang, 2025; Pfäuti, forthcoming), and survey studies use the time respondents spend on a screen as a measure of information processing (Fuster et al., 2022; Knotek et al., 2024). Relative to this work, I study attention across competing explanations of a single macroeconomic variable, measure it at two margins—reading and acquisition—and show that different prior beliefs govern each margin. To my knowledge, this is the first paper to measure attention to competing economic narratives.

Second, the paper contributes to the literature on economic narratives (Shiller, 2017), which studies the determinants of narrative adoption (Eliaz and Spiegler, 2020; Schwartzstein and Sunderam, 2021), the transmission of narratives (Barron and Fries, 2024; Charles and Kendall, 2024), and their macroeconomic consequences (Flynn and Sastry, 2024). Closest to this paper, Andre et al. (2026) show that narratives shift households' inflation expectations, and Blesse et al. (2026) document households' demand for economic narratives. Relative to these papers, I study how households allocate attention when several narratives compete, and I show that which narratives households read, and which they ask about, determines how strongly narratives shift their beliefs.

Third, this paper relates to research on households' macroeconomic expectations and information provision experiments (e.g., Coibion, Gorodnichenko and Kumar, 2018; Coibion, Gorodnichenko and Ropele, 2020; Coibion, Gorodnichenko and Weber, 2022; Coibion et al., 2023; Haaland, Roth and Wohlfart, 2023; Georgarakos et al., 2024; Weber et al., 2025). While this literature focuses on how quantitative information and its source shape expectations, I show that the response to the same quantitative forecast depends on the narratives households have attended to. The paper complements Coibion, Gorodnichenko and Weber (2022), who show that the effect of monetary policy messages on inflation expectations depends on how the messages are framed, by documenting which narratives households select to process in the first place.

Finally, the expert evidence speaks to the debate over the causes of post-COVID inflation, divided between accounts centered on government spending (e.g., Reis, 2023; Cochrane, 2023; Bianchi, Faccini and Melosi, 2023; Barro and Bianchi, 2026) and accounts centered on supply disruptions, energy prices, or wage dynamics (e.g., Bernanke and Blanchard, 2025; Gagliardone and Gertler, 2026; Lorenzoni and Werning, 2023). The EES data show how U.S. experts weigh these accounts and how their weights shifted between 2023 and 2025. This evidence defines the set of competing narratives that households face and supplies the narratives used as treatments in the household survey.

The remainder of the paper proceeds as follows. Section 2 documents experts' inflation narratives. Section 3 develops the framework and its predictions. Section 4 tests the two predictions on attention in two household surveys: households read longer about narratives they understand less, and they seek information about narratives they consider important, a choice that persists across survey waves. Section 5 studies how households update their narratives and how narrative weights shape the response of inflation expectations to a tariff forecast. Section 6 embeds sticky narratives in a New Keynesian model and traces out their implications for inflation and consumption. Section 7 concludes.

2 Experts' Inflation Narratives

Economic experts are a major source of the narratives households encounter. This section documents what U.S. experts say drives inflation in 2025, the year of the household survey. Two facts matter for what follows. First, narratives compete both within and across experts: the typical expert attributes current inflation to several drivers, and experts disagree about which driver matters most. Second, three narratives carry the largest weights among U.S. experts, and I use them as the treatments of the first household survey.

2.1 Expert Survey

I use the Economic Experts Survey (EES), administered at the ifo Institute and the CESifo research network, which surveys academic economists with expertise in their home country's economy (see Gründler et al., 2023; Heil and Potrafke, 2025, for a description). The survey is sent quarterly to over 10,000 experts, with a response rate of around 15% and participants from over 120 countries (Figure B.3 and Tables A.1 and A.2 in the Appendix). In the inflation module, experts state their inflation expectations and then allocate 0–100 points across potential drivers of current inflation according to their perceived importance. The question is framed in a non-directional way. Like a probabilistic density question, it captures the *relative* importance of each narrative.[1]

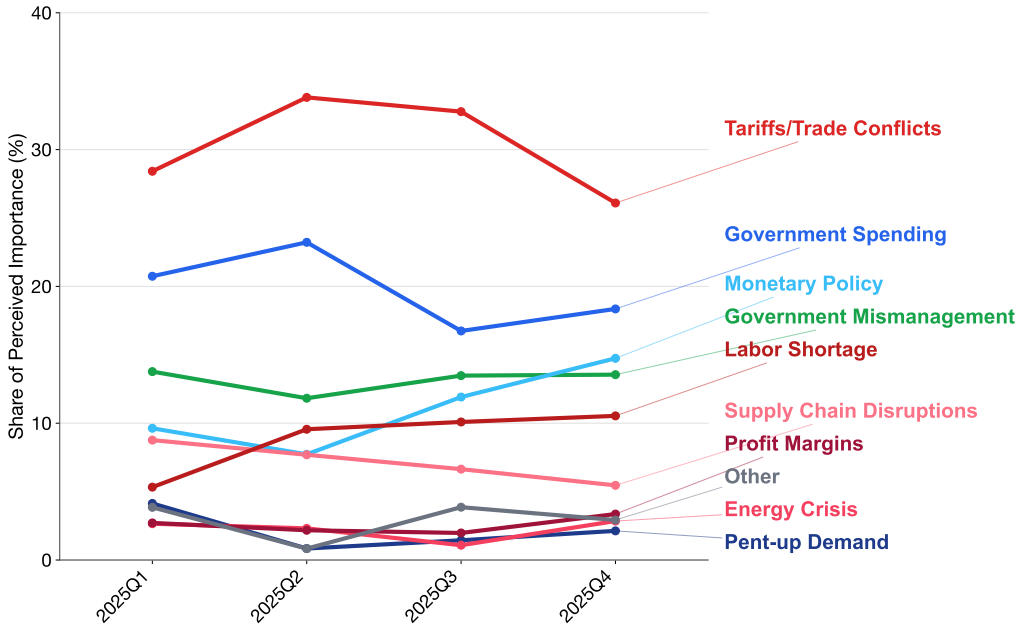
2.2 Competing Narratives among U.S. Experts

Figure 1 plots the average weight that U.S. experts give to each driver in the four waves of 2025. Tariffs, added to the questionnaire in Q1 2025, are the largest narrative throughout, at 28 percent in Q1, 34 percent in Q2, and 26 percent in Q4. Government spending follows at 17 to 23 percent and government mismanagement at 12 to 14 percent. No narrative accounts

[1] Open-ended questions do not prime respondents with a list of narratives but do not yield comparable weights. To check that both formats capture the same narratives, I included both in the March 2025 wave: the weight assigned to a narrative in the structured question is positively correlated with the likelihood that the narrative appears in the open-ended answer.

for more than about a third of the average allocation, and three further drivers receive sizable weights: monetary policy rises from 8 percent in Q2 to 15 percent in Q4, labor shortages from 5 to 11 percent, and supply-chain disruptions account for 5 to 9 percent. The ranking also moves within the year: monetary policy, which ranks behind labor shortages in Q2, ranks third in Q4.

Figure 1 Inflation Narratives of U.S. Experts in 2025



Notes: The figure plots the weight that U.S. economic experts assign to each inflation narrative in the Economic Experts Survey; weights sum to 100% for each respondent. The data include the four waves Q1–Q4 2025. Tariffs enter the questionnaire in Q1 2025. The pandemic and the war in Ukraine were not offered as separate options in 2025 and are part of "Other". The series for the full period from Q2 2023 to Q4 2025 is in Appendix Figure B.1.

The competition among narratives is not only a feature of the average. Across the 396 responses of U.S. experts in 2025, the average expert assigns positive weight to 4.3 drivers, and 90 percent of experts assign positive weight to at least three. The weight on an expert's own largest driver averages 45 percent, and 80 percent of experts put at most half of their allocation on a single driver. Thus, most experts see current inflation as the outcome of several forces rather than one.

Experts also disagree about which force matters most. Tariffs are the largest driver for 42 percent of responses, government spending for 22 percent, and government mismanagement and monetary policy for 11 percent each. The standard deviation across experts of the weight on tariffs is 19 percentage points, about two thirds of its mean of 31 percent, and for government spending the standard deviation is as large as the mean (19 and 20 percent). Thus, the disagreement across experts is of the same order of magnitude as the average weights themselves.

The competition among narratives is not specific to 2025. Appendix Figure B.1 extends the series back to Q2 2023. In 2023 and early 2024, government spending leads at 19 to 25 percent, while monetary policy, labor shortages, and supply-chain disruptions carry about 11 to 15 percent each; the ranking then changes sharply when tariffs enter the questionnaire in 2025. Worldwide, weights are spread more evenly, and European experts give the energy crisis more weight than U.S. experts do (Appendix Figures B.1 and B.2a).

These patterns describe the narrative environment a U.S. household faces: many explanations compete, both within the allocation of a single expert and across experts. Among the 127 U.S. experts surveyed in mid-2025, three narratives carry the largest weights: tariffs and trade conflicts (33 percent), government spending (23 percent), and government mismanagement (12 percent). I use these three as the treatments of the first household survey (Section 4).

Narratives of Inflation in the Media Describe Exercise to compare expert narratives with inflation narratives in newspapers in 2025.

3 A Framework of Attention to Economic Narratives

This section develops a framework of how households allocate attention to inflation narratives. It yields one prediction for each attention margin I measure in the surveys: reading time responds to how uncertain the household is about a narrative (Proposition 1), and the choice of what to learn more about responds to how much the household believes the narrative contributes to inflation (Proposition 2). Section 3.4 adds the implications for belief updating. Proofs and derivations are in Appendix E.

3.1 Mental Models of Inflation

Each household i has a mental model of what drives current inflation. This mental model splits inflation into N narratives, each representing a cause with an explanation for how it raises prices: tariffs raise import costs, government spending raises demand, government mismanagement raises policy uncertainty. Household i's mental model is

$$\pi_i = \sum_{n=1}^{N} \omega_{i,n}, \qquad \omega_{i,n} \geq 0, \quad \pi_i > 0, \tag{1}$$

where $\omega_{i,n}$ is the amount of inflation household i attributes to narrative n. It is convenient to normalize each narrative's amount by household i's own total,

$$\bar{\omega}_{i,n} \equiv \frac{\omega_{i,n}}{\pi_i}, \qquad \sum_{n=1}^{N} \bar{\omega}_{i,n} = 1. \tag{2}$$

so that contributions sum to one regardless of how high the household thinks inflation is overall. Working with percentage contributions rather than raw amounts lets me compare attention and updating across households without the comparison being confounded by differences in π_i.[2]

Because contributions sum to one, only $N-1$ of them are free. The named narratives need not be exhaustive: narrative N is a residual category that absorbs whatever inflation household i does not attribute to the others,

$$\bar{\omega}_{i,N} = 1 - \sum_{n=1}^{N-1} \bar{\omega}_{i,n}, \tag{3}$$

so (1) is an accounting identity, not a restriction. Respondents never read or choose the residual, and the rest of the framework concerns the named narratives $n < N$.

Household i's beliefs concern how much of current inflation each narrative *actually* explains. Denote this true contribution by $\bar{\omega}_n$, without the i; it is the same for every household, and no household observes it. Household i holds an uncertain belief about it for each named narrative:[3]

$$\bar{\omega}_n \sim \mathcal{N}\left(\bar{\omega}^0_{i,n}, \sigma^2_{i,n}\right), \quad n < N \qquad \text{(household } i\text{'s belief)}. \tag{4}$$

In words: household i centers its guess about the true contribution at $\bar{\omega}^0_{i,n}$, with a margin of error, $\sigma^2_{i,n}$, that measures its prior uncertainty about the narrative. This guess is exactly the contribution $\bar{\omega}_{i,n}$ from (2): household i's mental model is its best estimate of how actual inflation divides up.[4] The superscript 0 marks this estimate before the household reads anything; after reading, it becomes $\bar{\omega}^1_{i,n}$. $\tau^0_{i,n} \equiv 1/\sigma^2_{i,n}$ is the precision corresponding to $\sigma^2_{i,n}$. I take $\sigma^2_{i,n}$ to be the household's uncertainty about narrative n, which I measure inversely by self-rated understanding (Section 4.1): a household that understands the tariff channel has a clear belief about how much tariffs add to inflation, while a household unfamiliar with the mechanism does not.

3.2 Attention through Reading

Households meet inflation narratives in everyday life, for instance in a post arguing that importers pass tariffs on to consumers. A narrative does not state its contribution to inflation; it gives an argument from which a reader can judge how much the narrative explains, and

[2] I restrict $\bar{\omega}_{i,n}$ to be nonnegative, so each $\bar{\omega}_{i,n}$ lies in $[0,1]$ and reads as a share of inflation. The restriction mirrors the survey, in which households and experts allocate 100 points across drivers of inflation and cannot assign negative weights. A household that believes a factor lowers inflation assigns it zero weight.

[3] Because contributions lie in $[0,1]$, the Gaussian belief is an approximation, accurate when $\sigma_{i,n}$ is small relative to $\bar{\omega}^0_{i,n}$. The results below use only that the prior mean $\bar{\omega}^0_{i,n}$ is nonnegative.

[4] Under the quadratic loss in (6), the best estimate of $\bar{\omega}_n$ is the mean of household i's belief, so the contribution in (2) and the mean in (4) coincide.

that contribution is the same for every reader. I model reading narrative n as observing a noisy signal of the common contribution:

$$s_{i,n} = \bar{\omega}_n + \varepsilon_{i,n}, \qquad \varepsilon_{i,n} \sim \mathcal{N}(0, \sigma^2_{\varepsilon,n}). \tag{5}$$

Two households reading the identical text can therefore end up with different beliefs because reading is imperfect. This is the standard structure in rational inattention: agents attend to a common state and differ in the noise with which they process it (Maćkowiak and Wiederholt, 2009; Maćkowiak, Matějka and Wiederholt, 2023). Let $a_{i,n} \geq 0$ be the attention household i pays to narrative n; attention buys precision, $\sigma^2_{\varepsilon,n}(a_{i,n}) = \bar{\sigma}^2 / a_{i,n}$, so more attention means a less noisy signal, and it costs $\psi > 0$ per unit, the opportunity cost of time and effort.[5] The household receives a separate, precision-scalable signal for each narrative rather than one signal about the whole vector $(\bar{\omega}_n)_{n\in\mathcal{T}}$ at once, where $\mathcal{T} \subseteq \{1, \ldots, N-1\}$ is the set of narratives the household reads. This restricted-signal setup is standard in rational inattention (Maćkowiak and Wiederholt, 2009; Van Nieuwerburgh and Veldkamp, 2010) and matches the survey, which presents each narrative as a separate text.

Timing. (i) The household starts with beliefs $(\bar{\omega}^0_{i,n}, \sigma^2_{i,n})$. (ii) It chooses attention $\{a_{i,n}\}_{n\in\mathcal{T}}$. (iii) It observes signals $\{s_{i,n}\}$ and updates via Bayes' rule to $\bar{\omega}^1_{i,n}$.

The reading problem. The household wants accurate beliefs because they guide economic decisions, and what matters for those decisions is how many points of inflation it misattributes. Understanding a narrative means knowing how its mechanism works, and the same misreading of a mechanism misattributes more points of inflation when the narrative carries more weight. I therefore assume that an error on narrative n counts in proportion to the narrative's perceived contribution. In other words, at equal understanding, the variance of a narrative's contribution, measured in points of inflation, scales with its weight: with a relative standard deviation of one third, a narrative with weight 0.30 has a 95% interval of about [0.10, 0.50], and a narrative with weight 0.02 one of about [0.007, 0.033]. This mirrors Maćkowiak and Wiederholt (2009), where the attention a decision maker pays to a component of its target rises with the variance of that component's contribution to the target. The household chooses attention to minimize this weighted expected error, net of the cost of attention — the linear-quadratic-Gaussian rational-inattention problem (Sims, 2003; Maćkowiak and Wiederholt, 2009; Maćkowiak, Matějka and Wiederholt, 2023):

$$\min_{\{a_{i,n}\}_{n\in\mathcal{T}}} \sum_{n\in\mathcal{T}} \Big[(\bar{\omega}^0_{i,n})^2 \cdot \mathrm{Var}(\bar{\omega}_n \mid s_{i,n}, a_{i,n}) + \psi\, a_{i,n} \Big], \qquad a_{i,n} \geq 0. \tag{6}$$

[5] A per-unit price and a hard capacity constraint $\sum_n a_{i,n} \leq A$ yield the same allocation when ψ equals the multiplier on the capacity constraint, although their comparative statics differ (Appendix E.1). I use the price form because the survey imposes no common time limit.

A household that attributes 40% of inflation to tariffs and 15% to government spending misattributes more than twice as many points of inflation when it misjudges the tariff mechanism by a given proportion; $(\bar{\omega}^0_{i,n})^2$ captures this. The weight uses the household's own belief because the true contribution is what the household is trying to learn.

At an interior optimum, reading raises the precision of every narrative the household reads to a level proportional to its perceived contribution, regardless of prior uncertainty — the water-filling property of rational inattention (Appendix E.1). Optimal attention is

$$a^*_{i,n} = \max\left\{0, \frac{\bar{\sigma}\,\bar{\omega}^0_{i,n}}{\sqrt{\psi}} - \frac{\bar{\sigma}^2}{\sigma^2_{i,n}}\right\}$$

(Appendix E.1).

Proposition 1 (Attention to Uncertain Narratives)**.** *Holding perceived contribution fixed, the household pays more attention to narratives it is more uncertain about: for any narrative receiving positive attention,*

$$\frac{\partial a^*_{i,n}}{\partial \sigma^2_{i,n}} = \frac{\bar{\sigma}^2}{(\sigma^2_{i,n})^2} > 0.$$

Proof: See Appendix E.1. The result is akin to the general finding in rational-inattention models that agents pay more attention to variables about which they are more uncertain (Maćkowiak, Matějka and Wiederholt, 2023).[6]

The same first-order condition carries a second implication that Section 4 also takes to the data. Optimal attention (A.5) rises with perceived contribution, $\partial a^*_{i,n}/\partial \bar{\omega}^0_{i,n} = \bar{\sigma}/\sqrt{\psi} > 0$: a household reads longer about a narrative it considers large, holding uncertainty fixed. This is the stakes channel of the reading margin, and I state it as a test rather than as a maintained assumption. Across narratives, the two channels can offset each other. If households are less uncertain about narratives they consider important, a larger perceived contribution comes with a lower $\sigma^2_{i,n}$, and reading time can fall with perceived contribution even though Proposition 1 holds. Section 4.2 returns to this case.

3.3 Acquisition of Further Information

Beyond reading what it is shown, a household can seek out more information about a narrative on its own — a single supplementary signal of precision $\tau_s > 0$ directed at one narrative.

[6]The linear-precision technology $\sigma^2_{\varepsilon,n} = \bar{\sigma}^2/a_{i,n}$ stands in for a mutual-information (Shannon) capacity constraint. Appendix E.1 shows that Proposition 1 and the equalization of post-reading precision (though post-reading precision becomes quadratic rather than linear in $\bar{\omega}^0_{i,n}$) carry over to the entropy-based formulation.

The household values this signal by how much it lowers the objective in (6). The value of directing it at narrative n, evaluated at the household's current beliefs, is

$$V^0_{i,n} = (\bar{\omega}^0_{i,n})^2 \Big[\frac{1}{\tau^0_{i,n}} - \frac{1}{\tau^0_{i,n} + \tau_s} \Big] = \frac{(\bar{\omega}^0_{i,n})^2 \tau_s}{\tau^0_{i,n}(\tau^0_{i,n} + \tau_s)}. \tag{7}$$

The bracket is the reduction in posterior variance the signal buys; $(\bar{\omega}^0_{i,n})^2$ converts that reduction into points of inflation, as in (6). Equation (7) makes no reference to reading, to Proposition 1, or to any particular order of decisions — it is simply the value of information a household with beliefs $(\bar{\omega}^0_{i,n}, \sigma^2_{i,n})$ places on narrative n, before anything else has happened. Because $V^0_{i,n}$ is measured in the objective of the reading problem, the next result is a corollary of that problem and requires no further assumption.

Proposition 2 (Acquisition Increases in Perceived Contribution)**.** *For any prior precision $\tau^0_{i,n}$, $V^0_{i,n}$ is strictly increasing in $\bar{\omega}^0_{i,n} \geq 0$. Among narratives it is equally uncertain about, the household seeks information about the one it believes contributes most to inflation.*

Proof: See Appendix E.2. The proposition does not rely on the Gaussian structure (Appendix E.2), and it applies to a choice among narratives the general finding in models of costly information acquisition that the demand for information rises with the stakes (Maćkowiak, Matějka and Wiederholt, 2023).

The design cannot separate this prediction from neighboring accounts: a household that assigns tariffs a large contribution might seek out the tariff narrative because tariffs matter for its own decisions, or because tariffs are salient or interesting to it — both accounts point the same way.[7] I therefore use Proposition 2 for a narrower purpose than establishing rational inattention itself: if the elicited contribution predicts which narrative a household seeks out, the contribution is doing real work as the scale of a narrative's variance, which is what the reading problem assumes of it.

Equation (7) also contains a pull in the other direction: the bracket falls as prior precision $\tau^0_{i,n}$ rises, so among narratives of equal perceived contribution, the household seeks information about the one it is *most* uncertain about. When the narrative a household considers most important is also the one it understands best, the two forces conflict, and (7) does not settle which wins without knowing both precisions.

Proposition 2 describes a choice made at prior beliefs, as in the second survey's first choice. Appendix E.3 shows that a choice made after reading, as in the first survey (Appendix A.1), still follows perceived contribution, but prior uncertainty no longer enters, because reading has already equalized it.

[7] Separating them would need variation in how much a narrative matters for a household's decisions that leaves its perceived contribution unchanged; this survey contains no such variation.

3.4 Belief Updating

After observing signal $s_{i,n}$, the household revises its belief about the true contribution by

$$\Delta\bar{\omega}_{i,n} = \kappa_{i,n}\,(s_{i,n} - \bar{\omega}^0_{i,n}), \qquad \kappa_{i,n} = \frac{\sigma^2_{i,n}}{\sigma^2_{i,n} + \bar{\sigma}^2/a_{i,n}} = \frac{a_{i,n}\sigma^2_{i,n}}{a_{i,n}\sigma^2_{i,n} + \bar{\sigma}^2}. \tag{8}$$

In words: the household moves its perceived contribution a fraction $\kappa_{i,n}$ of the way from its prior toward what it read, and that fraction — the Kalman gain — rises with both attention and prior uncertainty. Two predictions follow: households revise a narrative's contribution more when they attend to it more, and when they were less certain about it beforehand. Both are standard properties of Bayesian updating, and the experiment supplies variation in each. $\kappa_{i,n}$ also nests two familiar limits — full Bayesian updating and no updating at all — stated formally in Appendix E.4, which derives both comparative statics.

The framework concerns how households divide current inflation across narratives, not how high they expect inflation to be: because the contributions $\bar{\omega}_{i,n}$ sum to one, they carry no information about the level of inflation. I therefore derive no prediction for inflation expectations and study them empirically in Sections 5.4 and 5.5.

Predictions. The framework yields three predictions. First, a household spends more time reading a narrative the more uncertain it is about that narrative's contribution (Proposition 1); holding uncertainty fixed, the reading problem also implies longer reading of narratives with a larger perceived contribution. Second, a household requests further information about the narrative with the largest perceived contribution (Proposition 2). Third, a household revises a narrative's perceived contribution more the longer it attends to the narrative and the more uncertain its prior is (equation (8)). The first two predictions concern the allocation of attention; the third concerns how attention and prior beliefs shape the processing of new information.

4 Households' Attention to Inflation Narratives

This section tests the framework's predictions on the allocation of attention in two surveys of U.S. households. The first survey, fielded in August 2025 on 3,002 respondents representative of the U.S. population, randomly assigns two of three competing expert narratives and records how long respondents read each. The second survey, fielded on Prolific in September 2026 on 400 respondents broadly representative of the U.S. population, asks which of three narratives respondents want to learn about before they see any of them, and recontacts them about two weeks later.[8] I first describe how I measure the two beliefs the frame-

[8]The first survey has been pre-registered at the AEA RCT Registry under the RCT ID: AEARCTR-0016456; the second survey has been pre-registered at AsPredicted (https://aspredicted.org/4ub48s.pdf); the

work assigns to each narrative: how much the household believes the narrative contributes to inflation and how uncertain it is about the narrative and its impact on inflation. I then present the results of the empirical tests of the two predictions for attention to inflation narratives.

4.1 Survey and Measurement

Survey and sample. The first survey was fielded in August 2025 in collaboration with the survey provider Bilendi/Respondi, a platform commonly used for survey experiments requiring high-quality responses (Stantcheva, 2023). The analysis sample comprises 3,002 respondents, with a median (mean) response time of 13 (14) minutes.[9] The sample is broadly representative of the U.S. population in terms of age, gender, income, region, education, and race (Appendix Table A.3). In an introductory block, respondents answer demographic questions and questions on self-reported attention to inflation and news consumption. A definition of inflation with the most recent U.S. statistic then provides a common anchor. Respondents state their prior 12-month inflation expectation, elicited as the midpoint between their beliefs for the maximum and minimum possible inflation realization (Guiso, Jappelli and Pistaferri, 2002; Coibion et al., 2024), and report their prior beliefs about the drivers of inflation and how well they understand each of them.

Perceived narrative contribution. I elicit perceived contribution with a constant-sum question that mirrors the experts' question:

> "In your view, how much does each of the following factors currently contribute to inflation in the United States?"

Respondents allocate 100 points across nine drivers and an "other" category before any treatment.[10] The weight divided by 100 is the household's prior perceived contribution $\bar{\omega}_{i,n}^0$ in the framework, the mean of its belief about the fraction of current inflation that narrative n explains; because the weights sum to 100, they correspond to the normalized contributions in equation (2). The question elicits a mean and not the dispersion of the belief. I ask the same question after the narratives and before the forecast treatment, so the change in the weight measures the revision $\Delta\bar{\omega}_{i,n}$ directly.

follow-up wave has been pre-registered at AsPredicted (https://aspredicted.org/sc65tj.pdf). The preregistration of the first survey also includes a detailed Pre-Analysis Plan, which describes the survey design and outlines the empirical specifications and the formulated hypotheses.

[9] Studying attention to narratives requires particularly high data quality. At the beginning of the survey, participants are informed about the importance of responding carefully and notified that use of generative AI tools is prohibited. I exclude respondents who fail an attention check that requires careful reading, complete the survey in less than one-third of the median time, appear to use generative AI, skip screens, spend more than 7 minutes on an individual screen, or complete the survey over multiple days.

[10] The list comprises the narratives ...

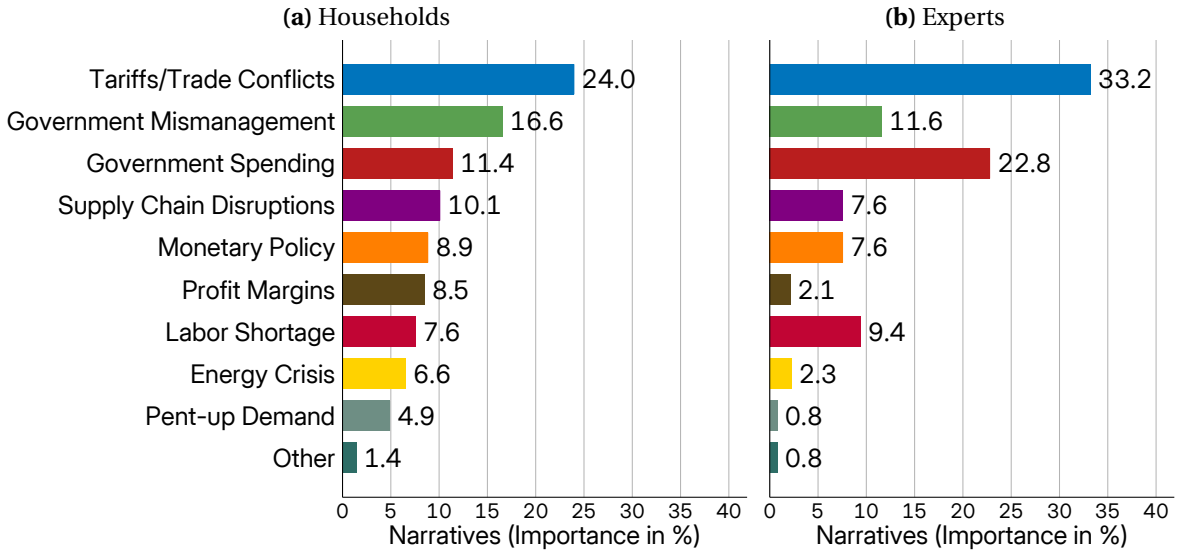
Uncertainty about narratives. Prior uncertainty $\sigma^2_{i,n}$ is not observed directly, and I use three measures. In the first survey, respondents rank the nine narratives by how well they understand each driver and its effect on inflation, from best (rank 1) to least (rank 9) understood; in the second survey, they rate their understanding of each of three narratives on a 0–100 slider. I treat self-rated understanding as an inverse proxy for $\sigma^2_{i,n}$: the less a household understands the mechanism, the less precise its belief about the narrative's contribution. The rank is ordinal and averages five for every respondent, so it identifies the ordering of σ^2 across narratives within a household, which is what the relative reading-time tests use; the slider is cardinal. The identifying assumption is that understanding is monotonically related to σ^2, and recall accuracy after treatment supports it (Section 4.2). Third, after the prior allocation the first survey asks how confident respondents are in their response, on a scale from 1 to 7. This item measures uncertainty about the whole allocation and not about single narratives, so I use it only as a household-level measure of prior uncertainty in the updating tests (Section 5.3), with low confidence corresponding to high uncertainty.

Households' and experts' narratives. Figure 2 compares the pre-treatment weights that households and U.S. experts give to each inflation narrative. Households place the most weight on tariffs and trade conflicts (24%) and government mismanagement (17%), followed by government spending (11%), supply-chain disruptions (10%), monetary policy (9%), and firms' profit margins (9%); labor shortages (8%), the energy crisis (7%), and pent-up demand (5%) receive less.[11] Experts concentrate their weight on tariffs (33%), government spending (23%), and government mismanagement (12%), and give 1–2% each to profit margins, the energy crisis, and pent-up demand. Relative to experts, households put more weight on government mismanagement and corporate behavior and less on tariffs and government spending.

Prior understanding. Households understand tariffs (mean rank 3.26) and government mismanagement (4.02), the two most politically salient narratives, best (Figure 3). The energy crisis (5.98) and pent-up demand (6.41) come last, and government spending sits near the middle (4.79). The rank varies widely within each narrative, with a standard deviation above two positions for every driver. Understanding correlates with perceived contribution, with rank–weight correlations of −0.47 for tariffs, −0.38 for mismanagement, and −0.31 for spending, so the two measures can enter the regressions separately, although the correlation limits how sharply their effects can be distinguished. As preregistered, I split understanding by 2024 vote (Appendix Figure B.6). Harris voters rank tariffs as their best-understood driver (2.52 versus 4.12 for Trump voters), while Trump voters understand government spending,

[11] Respondents who voted for Trump in 2024 place significantly more weight on government spending and monetary policy, and less on tariffs, than other respondents do. Trump voters put a prior weight of 16.3 on tariffs against 28.9 for other respondents.

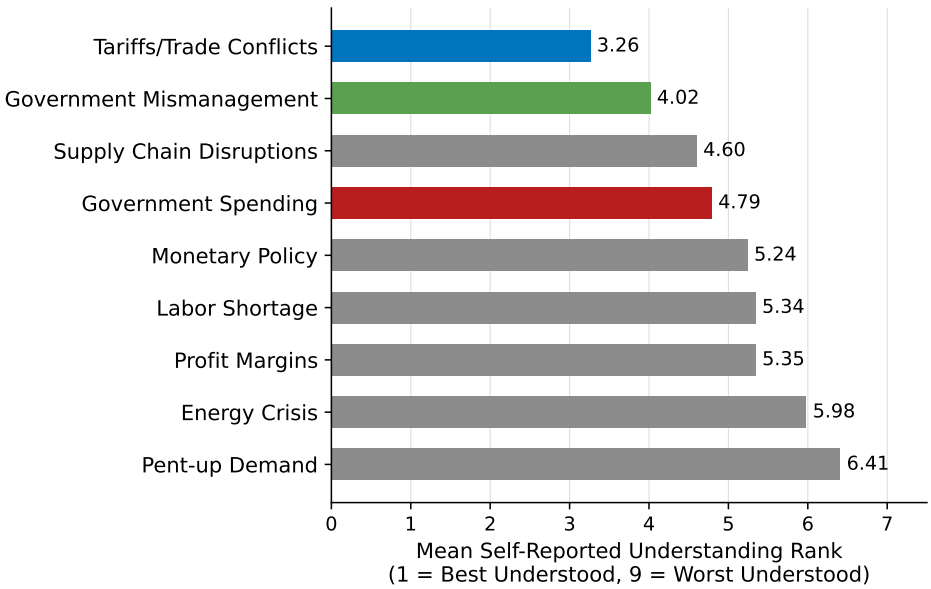
Figure 2 Inflation Narratives



Notes: The left figure plots the average perceived contribution of different inflation drivers according to households, elicited pre-treatment. The right figure shows the average perceptions of economic experts about these narratives. The weights of different inflation drivers sum up to 100%.

monetary policy, and the energy crisis better; all differences are significant at the 1 percent level. Because understanding and perceived contribution both differ by party, the regressions below control for perceived contribution, demographics, and 2024 vote.

Figure 3 Households' Prior Understanding of Inflation Narratives



Notes: The figure plots the mean pre-treatment understanding rank for each of the nine inflation narratives, elicited before any treatment. Respondents rank the narratives from best understood (rank 1) to least understood (rank 9); a lower value denotes better understanding. Bars for the three treatment narratives are highlighted (tariffs in blue, government spending in red, government mismanagement in green).

Table 1 lists the outcomes, the survey that provides them, and the framework object each corresponds to.

Table 1 Outcomes and Framework Objects

Outcome	Measure	Survey	Framework object
Reading time	Seconds on each narrative screen; indicator for longer time than on the other narrative	Survey 1; Survey 2 (chosen narrative)	Attention $a^*_{i,n}$
Acquisition	Narrative chosen for further information	Survey 2	Value of information $V^0_{i,n}$
Narrative updating	Posterior minus prior weight on a narrative	Survey 1	Revision $\Delta\bar{\omega}_{i,n}$
Inflation expectations	Calendar-year expectations after the narratives; 12-month expectation after the tariff forecast	Survey 1	Forecast π^e_i

4.2 Attention across Competing Narratives

Narrative treatments. After the elicitation of priors, the first survey randomly provides respondents with competing inflation narratives from economic experts (Figure 4). To construct the narrative treatments, I surveyed 127 U.S. economists in June–July 2025 about the main drivers of current U.S. inflation. The three narratives with the largest average weight were tariffs and trade conflicts, government spending, and government mismanagement. Each respondent randomly receives two of these three narratives, displayed on separate screens in random order, so the design yields three narrative pairs of equal expected size. The narratives are matched in length and complexity, so that differences in reading time reflect the allocation of attention rather than differences in difficulty. I use this active-control design because the object of interest is the relative allocation of attention: attention to one narrative is attention not paid to the other, as in the framework's reading problem.[12] To give one example, the tariffs narrative reads:

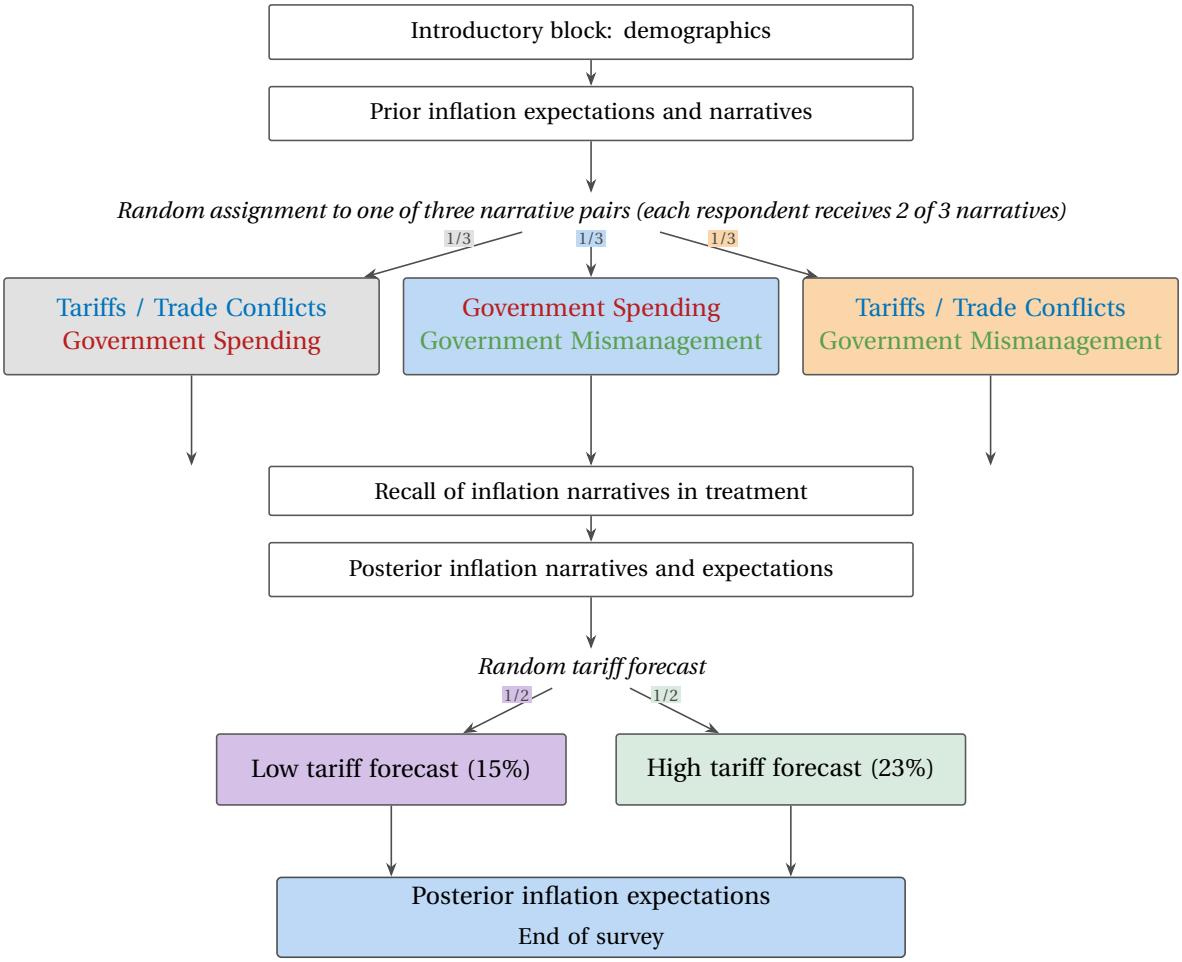
Participants in a recent survey of leading economic experts stated that ***Trade Conflicts and Tariffs*** *are major drivers of current Inflation in the United States.*
When ***tariffs are imposed on imported goods****—such as industrial inputs, consumer electronics, or food products—****import costs rise*** *and are often passed through to consumers as* ***higher retail prices****. This direct price increase contributes to overall inflation.*

[12] The design does not include a pure control group (see Haaland, Roth and Wohlfart, 2023, for a discussion), so it does not identify the effect of a narrative pair relative to no exposure; it identifies how exposure to one narrative shifts weights relative to a competing narrative. A pure control would also confound attention with survey length and with effects of reading any narrative, such as emotional responses.

Additionally, trade tensions and retaliatory measures from other countries increase ***economic uncertainty*** *and discourage investment. This reduces efficiency and productivity,* ***raising production costs*** *and further intensifying upward pressure on prices.*
Together, these effects elevate prices both by ***raising import costs*** *and by creating* ***broader inefficiencies*** *in the economy.*

The government-spending and government-mismanagement narratives are in Figures D.21 and D.22 in the Appendix. After the narratives, respondents describe them in their own words, report their posterior inflation narratives in a reworded version of the prior question, and state calendar-year inflation expectations. A second treatment, a tariff forecast, follows (Section 5.5).

Figure 4 Survey Structure



Notes: The figure illustrates the survey flow of the first survey.

Measuring attention. Attention is measured by the time a respondent spends on each narrative screen. The median respondent spends 40 seconds on both narrative screens combined (Appendix Figure B.7a); on average, respondents spend 29 seconds on the government

spending narrative, 27 seconds on government mismanagement, and 25 seconds on tariffs (Appendix Figure B.7b). Because each respondent reads two narratives, the outcome is an indicator for spending more time on a narrative than on the other one shown. My baseline specification is

$$\text{Longer}_{i,n} = \beta_1 \,\text{Understood better}_{i,n} + \beta_2 \,\text{Larger contribution}_{i,n} + \alpha_n + \gamma' X_i + u_{i,n}, \qquad (9)$$

where $\text{Understood better}_{i,n}$ and $\text{Larger contribution}_{i,n}$ indicate that narrative n ranks above the other narrative shown in the pre-treatment understanding rank and contribution weight, α_n are narrative fixed effects, and X_i includes the screen order and pre-specified controls. The regression pools the two rows per respondent and clusters standard errors by respondent. Both regressors enter in the same form, so their coefficients are directly comparable. Proposition 1 predicts $\beta_1 < 0$; the stakes implication of the reading problem predicts $\beta_2 > 0$.

Reading time and understanding. I estimate equation (9) and report the results in Table 2. A respondent is 5.5 percentage points less likely to spend more time on a narrative that the respondent understands better than on the other narrative (column 1), against a baseline of 50 percent, and the estimate is significant at the 1 percent level. Respondents who rate both shown narratives at zero perceived contribution (263 respondents) read less overall (36 versus 55 seconds) and report lower attention to inflation and lower trust in experts; without them, the effect of understanding rises to 6.6 percentage points (column 2). These results are consistent with Proposition 1: households pay more attention to narratives they are more uncertain about. In contrast, the coefficient on perceived contribution is also negative, between −3.4 and −3.9 percentage points. Holding understanding fixed, the reading problem implies the opposite sign. The negative coefficient is consistent with Proposition 1 if households are less uncertain about narratives they consider important, so that perceived contribution picks up uncertainty that the binary understanding indicator does not capture. The data support this condition: narratives with a larger perceived contribution are better understood, with rank–weight correlations between −0.31 and −0.47 (Section 4.1).

Tariff and government pairs. The pooled estimates average two regimes (columns 3 and 4). In pairs of the two government narratives, understanding lowers the probability of reading a narrative longer than the other by 7.5 percentage points and perceived contribution has no effect. In pairs that include tariffs, perceived contribution lowers it by 5.6 percentage points and understanding by 4.3 percentage points. I can reject equality of the slope on perceived contribution across the two pair types at the 5 percent level but not equality of the slope on understanding.[13] Thus, the negative effect of perceived contribution comes from

[13] The pattern is unchanged under seven rules that exclude unusually long or short reading times and when all respondents with tied contribution ratings are dropped.

Table 2 Relative Reading Time (Linear Probability Model, Percentage Points)

	Pooled		Government pairs	Tariffs pairs
	(1)	(2)	(3)	(4)
Sample	Full	No zero omegas	No zero omegas	No zero omegas
Understood better	−5.49***	−6.60***	−7.45**	−4.33*
	(1.84)	(1.96)	(3.45)	(2.48)
Larger contribution	−3.93**	−3.44*	2.24	−5.61**
	(1.69)	(1.82)	(3.08)	(2.31)
Controls	Additive	Additive	Interacted	Interacted
Narrative fixed effects, order	Yes	Yes	Yes	Yes
Respondents	3,002	2,739	871	1,868

Notes: The dependent variable is 1 if the respondent spent more time on the narrative than on the other narrative shown. "Understood better" and "Larger contribution" are indicators for the narrative ranking above the other shown narrative in the pre-treatment understanding rank and contribution weight; ties are coded 0. Coefficients are percentage-point changes for a 0 to 1 change. Column (1) uses the full sample; columns (2)–(4) drop the 263 respondents who rate both narratives at zero perceived contribution. Columns (3) and (4) split by whether the pair contains the tariffs narrative and interact all controls with narrative indicators. Controls: narrative fixed effects, order, dummies for age, gender, education, employment status, income, and the 2024 presidential vote, and indicators for trusting experts and for reporting attention to inflation. Standard errors clustered by respondent. * $p < 0.10$, ** $p < 0.05$, *** $p < 0.01$.

pairs that include the tariffs narrative, while the effect of understanding holds in both pair types.

Recall. Reading time also tracks processing of the narrative. I score each respondent's description of a narrative from 0 to 100 with an LLM-assisted rubric for coverage, accuracy, hallucination, and coherence (Appendix C). Recall is higher among respondents who read the narrative for at least 20 seconds, and it rises with prior weight and understanding (Appendix Figure B.8). The second pattern validates the understanding measure against an independent behavioral outcome.

Partisanship. Attention to inflation narratives does not differ by political affiliation. I compare respondents who voted for Trump in 2024 with all other respondents. Trump voters understand the tariff channel less well (mean rank 4.1 versus 2.7), but understanding lowers the probability of reading a narrative longer than the other by 6.3 percentage points among Trump voters and by 6.1 percentage points among other respondents. Perceived contribution does not raise reading time in either group (−1.4 and −4.2 percentage points), so the rejected stakes implication is not specific to one group. Trump voters do recall all three narratives worse, by 0.13 to 0.22 standard deviations, and the uniform gap across narratives suggests a general difference in effort rather than in the allocation of attention.

4.3 Acquisition of Information about Narratives

Second survey. To test how households acquire information about narratives, I field a second survey. I recruited U.S. respondents through Prolific in September 2026; the analysis sample comprises 400 respondents and is broadly representative of the U.S. population.[14] Respondents first allocate 100 points across nine inflation drivers, as in the first survey, and rate their understanding of three narratives: tariffs, energy prices, and government spending. They then make a mandatory choice among the three narratives before seeing any of them. The chosen narrative is revealed on the next screen, together with an open-ended question on why they chose it. Respondents can then request one of the two remaining narratives or stop, and those who continue face the same choice for the last one. Because the first choice is made before reading, it corresponds to Proposition 2 as stated: a choice at prior beliefs.[15]

I estimate a conditional logit of the first choice,

$$\Pr(c_i = n) = \frac{\exp\left(\beta_1 \tilde{\omega}_{i,n} + \beta_2 \tilde{U}_{i,n} + \alpha_n\right)}{\sum_m \exp\left(\beta_1 \tilde{\omega}_{i,m} + \beta_2 \tilde{U}_{i,m} + \alpha_m\right)}, \tag{10}$$

where c_i is the narrative respondent i chooses, $\tilde{\omega}_{i,n}$ and $\tilde{U}_{i,n}$ are perceived contribution and understanding standardized across the three narratives, and α_n are narrative fixed effects. Proposition 2 predicts $\beta_1 > 0$.

First choice. Perceived contribution predicts the first choice (Table 3). A one standard deviation increase in a narrative's perceived contribution raises the probability that the respondent chooses it by 8.7 percentage points, about a quarter of the one-in-three probability under random choice. The effect is statistically significant at the 1 percent level, holds for each of tariffs, energy, and government spending, and is similar with demographic controls (column 4). In contrast, I cannot reject the null that understanding has no effect (-0.6 percentage points per standard deviation), and its estimates change sign across narratives. These results are consistent with Proposition 2: at prior beliefs, households direct additional information to the narratives they consider most important for inflation. The acquisition choice in the first survey, made after reading, points in the same direction: a standard deviation of perceived contribution raises the probability that a narrative is requested alone by 2.2 percentage points, while understanding has no effect (Appendix A.1).[16]

[14] Of 412 respondents who gave consent, passed an attention check, and completed the survey, two are speeders (under one third of the median duration) and ten are unusually slow (over three times the median). Demographics are available for 395 of the 400.

[15] The first survey also elicits information acquisition, but only after respondents have read the two competing narratives (Appendix A.1).

[16] In the first survey, Trump voters are more likely than other respondents to request information about government spending (6.2 percentage points) and government mismanagement (3.4 percentage points), the two narratives that blame the government, but not about tariffs, and they are 4.6 percentage points less likely to

Table 3 Information Acquisition

	Conditional logit			Logit
	(1)	(2)	(3)	(4)
Perceived contribution (std.)	0.350***		0.373***	0.411***
	(0.062)		(0.067)	(0.070)
Understanding (std.)		0.135	−0.100	−0.029
		(0.099)	(0.109)	(0.045)
Narrative fixed effects	Yes	Yes	Yes	Yes
Demographic controls	No	No	No	Yes
Respondents	400	400	400	395

Notes: Each respondent makes one mandatory choice among tariffs, energy, and government spending before seeing any narrative. Columns (1)–(3) report conditional-logit coefficients with narrative fixed effects; column (4) reports a stacked logit with demographic controls. Perceived contribution is the constant-sum weight and understanding the 0–100 slider, both standardized across narratives. Standard errors in parentheses. * $p < 0.10$, ** $p < 0.05$, *** $p < 0.01$.

Reading time in the second survey. The same respondents allocate reading time by a different rule. Among respondents who read the narrative they chose, log reading time is 14.9 percent lower per standard deviation of understanding, an effect significant at the 1 percent level, and is unrelated to perceived contribution (1.8 percent). Thus, within one sample, understanding governs how long households read a narrative and perceived contribution governs which narrative they seek out.

Persistence across waves. To assess whether acquisition reflects a stable preference, I recontacted respondents of the second survey about two weeks later and asked them to make the same first choice. Of the 400 respondents in the analysis sample, 334 (83.5 percent) completed the follow-up, and 329 remain after excluding unusually fast or slow follow-up responses.[17] In the follow-up, 48 percent of respondents choose the same narrative as in the first wave, against 34 percent if the choices in the two waves were independent given their marginal distributions, and I can reject random choice at the 1 percent level (Appendix Table A.6). Perceived contribution in the follow-up continues to predict the follow-up choice, significant at the 1 percent level, although the conditional-logit coefficient is about half its first-wave value for the same respondents (0.21 versus 0.43).

Stated motives. When asked about their motives for acquiring a specific narrative, respondents' cited reasons broadly match the revealed empirical pattern (Appendix Figure B.10). A language model codes the open-ended answers into non-exclusive categories. Respondents most often cite learning or curiosity (44 percent), followed by low understanding (21

request both narratives shown. The effect of perceived contribution is similar in both groups (1.5 and 2.4 percentage points per standard deviation).

[17] The follow-up was fielded from October 6 to October 14, 2026.

percent) and perceived contribution (16 percent).[18] At the individual level, the reasons contain information about respondents' measured beliefs: respondents who chose the narrative with their own largest contribution are twice as likely to cite perceived contribution (21 versus 10 percent), and respondents who chose their own least understood narrative are almost five times as likely to cite low understanding (40 versus 9 percent).

4.4 Recap

Jointly, the two surveys show that households allocate attention across competing narratives by two different rules. First, households read longer about the narratives they understand less, as Proposition 1 predicts, but not about the narratives they consider more important. Second, households seek information about the narratives they believe contribute most to inflation, as Proposition 2 predicts, and understanding plays no role in this choice. This is also a pattern that appears a persistent preference of respondents, as confirmed by a follow-up.

5 Narrative Updating and Expectation Formation

This section tests the framework's implications for belief updating (Section 3.4): that households revise a narrative's perceived contribution more when they attend to it more and are more uncertain about it. It then turns to inflation expectations, which the framework does not model: whether the narratives households read move their expectations, and whether the narratives they hold shape the response to a tariff forecast. All results come from the first survey.

5.1 Updating of Narrative Weights

Specification. To identify the effect of receiving a narrative on respondents' own narratives, I estimate the intention-to-treat specification

$$Y_{i,n} = \beta_0 + \beta_1 D_{i,n} + \gamma' X_i + u_{i,n}, \tag{11}$$

where $Y_{i,n}$ is respondent i's posterior weight on narrative n and $D_{i,n}$ equals 1 if the respondent read narrative n. I estimate the equation separately for each of the three narratives. The covariates X_i are the prior weight on the narrative, pre-treatment inflation expectations, demographics (age, gender, education), socio-economic characteristics (employment status and income), political ideology, an indicator for trusting experts on economic news, re-

[18] Shares refer to all 412 respondents who completed the second survey and passed the attention check, including the 12 excluded from the analysis sample for unusually fast or slow completion. Appendix Figure B.10 reports the shares for the respondents who also completed the follow-up.

ported attention to news about inflation, and total reading time. For inflation expectations, Section 5.4 replaces $D_{i,n}$ with indicators for the narrative pair.[19] The outcomes are posterior inflation narratives, measured with the structured question and with the open-ended question, which a large language model classifies into the narratives of the structured format (Appendix C), and calendar-year inflation expectations.

Descriptive patterns. Respondents update their narratives after the treatments. Updating is the posterior weight minus the prior weight, so a positive value means the respondent now assigns the narrative a larger contribution; updates sum to zero across narratives by construction. In every treatment group, respondents raise the weight on the narratives they read and lower it on the narrative they did not read, as the pre-analysis plan predicted. The response differs across narrative pairs (Appendix Figure B.11). Respondents who read tariffs and government mismanagement raise the weight on mismanagement by 6 percentage points but the weight on tariffs by only 0.9 percentage points. Updating is largest among respondents who read the two government narratives: the weight on mismanagement rises by 5.2 percentage points and the weight on spending by 3 percentage points, and tariffs, which these respondents did not read, lose the most weight (-3.2 percentage points), consistent with crowding out by the narratives shown.

Treatment effects. I estimate equation (11) and report the results in Table 4. Reading a narrative raises its posterior weight by 5.5 percentage points for tariffs, 3.5 percentage points for government spending, and 6.0 percentage points for government mismanagement, all significant at the 1 percent level. Relative to the mean posterior weight, these effects amount to 23, 26, and 30 percent. The coefficient on the prior weight lies between 0.38 and 0.58, so narrative weights persist: a respondent retains about half of a one-point difference in prior weight. In the open-ended question, respondents are significantly more likely to cite a narrative they read (not shown). Partisanship shapes how households process one narrative: after reading, Trump voters lower the weight on government mismanagement by 1.6 percentage points relative to other respondents, an effect significant at the 10 percent level, consistent with discounting a narrative that implicates the party they voted for.

5.2 Experimenter Demand

A concern in information experiments is that respondents report the beliefs they think the researcher expects rather than their own (Haaland, Roth and Wohlfart, 2023). Three features of the design limit this concern for the updating results. First, the posterior question differs from the prior question: the prior asks how much each factor currently contributes

[19] I trim prior and posterior inflation expectations below the 1st and above the 99th percentile. Results are qualitatively unchanged, but less precise, without trimming.

Table 4 Updating of Inflation Narratives

	(1) Tariffs/Trade conflicts	(2) Government spending	(3) Government mismanagement
Narrative in treatment	5.499***	3.456***	6.023***
	(0.616)	(0.519)	(0.631)
Prior narrative weight	0.582***	0.381***	0.472***
	(0.023)	(0.035)	(0.030)
Controls	Yes	Yes	Yes
Total narrative time	Yes	Yes	Yes
Mean of dependent variable	24.10	13.51	20.12
Observations	3,002	3,002	3,002
R^2	0.437	0.158	0.225

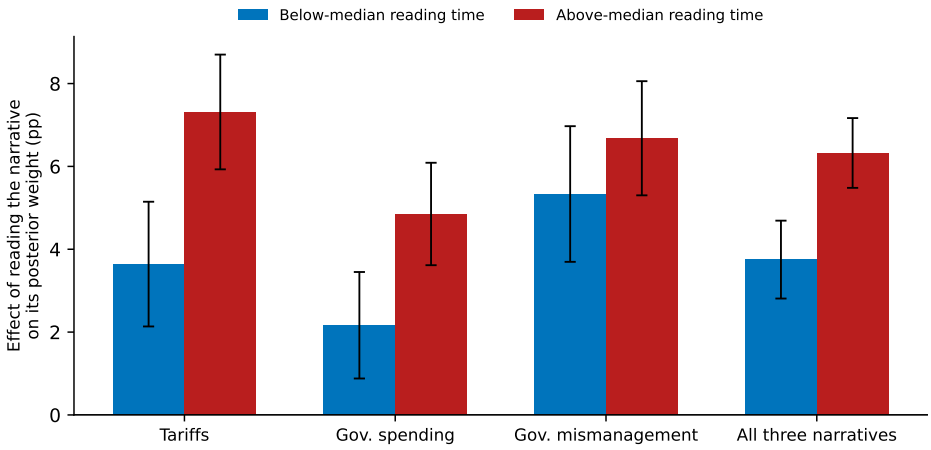
Notes: This table displays OLS regression results of households' beliefs about inflation narratives on the provision of this narrative. The dependent variable is the post-treatment weight (0–100 scale) the respondent assigns to the focal inflation narrative ("Tariffs/Trade Conflicts," "Government Spending," or "Government Mismanagement"). "Narrative in treatment" is a treatment indicator equal to 1 if that focal narrative was one of the two narratives randomly assigned to the respondent. "Prior narrative weight" is the pre-treatment weight for the same narrative (same 0–100 scale). Controls include dummies for age, gender, education, employment status, income and voting indicators for the 2024 presidential election as well as indicators for perceiving experts as trustworthy regarding news and for reporting attention to inflation. "Total narrative time" measures the total time spent on the two screens. Mean of dependent variable reports the mean of the dependent variable in the corresponding subsample.
* $p < 0.1$, ** $p < 0.05$, *** $p < 0.01$. Robust standard errors in parentheses.

to inflation and has respondents allocate 100 points, while the posterior asks respondents to weight the drivers according to their importance in percentage points and lists them in a different order (Appendix Figures D.16 and D.27). Asking the identical question twice would make the purpose of the treatment more visible and invite respondents to move their answer toward it. Second, the posterior is not elicited on the screen after the narratives: four screens intervene, on which respondents rate the narratives, make the information-acquisition choice, and describe each narrative in their own words. Third, every respondent reads two expert narratives, so a general demand to appear responsive to expert information affects all respondents alike, and in the forecast experiment both groups receive an expert forecast. Moreover, De Quidt, Haushofer and Roth (2018) bound experimenter demand in online experiments and find that even explicit signals about the researcher's hypothesis move responses only modestly. I believe this concern is limited given these features, but acknowledge that demand specific to the narratives a respondent read cannot be ruled out.

5.3 Attention, Prior Uncertainty, and Updating

Reading time. As preregistered, I examine heterogeneity by the attention respondents pay to the narratives. The Bayesian benchmark predicts that more attention amplifies updating (equation (8); Appendix E.4). A respondent has a reading time only for the narratives that

Figure 5 Narrative Updating by Reading Time on the Narrative



Notes: The figure plots the effect of reading a narrative on its posterior weight (percentage points), relative to respondents who did not read it, separately for respondents whose reading time on the narrative is below or above the median among readers. "All three narratives" stacks the three narratives with narrative fixed effects. Controls: prior weight, total narrative time, demographics, and attitudes. Bars show 95% confidence intervals; standard errors are clustered by respondent.

respondent read, so I split the effect of reading a narrative by whether the reading time on that narrative is above or below the median among respondents who read it (16.5 seconds for tariffs, 21.0 for government spending, and 17.8 for government mismanagement). Both effects use the respondents who did not read the narrative as the control group.

Updating is larger among respondents who read longer (Figure 5). Reading a narrative raises its posterior weight by 6.3 percentage points among respondents who read it for longer than the median and by 3.8 percentage points among those who read it for less, and I can reject equality of the two effects at the 1 percent level. The pattern holds for each narrative: 7.3 versus 3.6 percentage points for tariffs, 4.9 versus 2.2 for government spending, and 6.7 versus 5.3 for government mismanagement, although for mismanagement I cannot reject equality. A split at 20 seconds gives the same pattern.[20]

Prior uncertainty. The second preregistered dimension of heterogeneity is prior uncertainty, which the benchmark also predicts amplifies updating (Appendix E.4). I measure it with the respondent's confidence in the prior allocation of weights and classify respondents with a confidence of 4 or below on the 1–7 scale as having high uncertainty. These respondents update about twice as much as the other respondents: the treatment coefficients are 8.4 versus 3.9 percentage points for tariffs, 6.0 versus 2.1 for government spending, and 9.3 versus 4.1 for government mismanagement (Appendix Table A.4). Thus, both comparative statics of the Kalman gain in equation (8) hold in the data.

[20] Reading time is not randomly assigned, so the comparison also reflects other differences between respondents who read longer and those who read less.

5.4 Narratives and Inflation Expectations

Inflation expectations do not differ across the narrative pairs households read. I regress calendar-year inflation expectations for 2025, 2026, and 2027, elicited after the narrative treatment, on the narrative pair a respondent read. Because every respondent reads two of the three narratives, any two pairs differ by one narrative, and Appendix Figure B.12 plots the three pairwise differences at each horizon. I cannot reject the null of no difference for any of the nine comparisons, and no point estimate exceeds 0.44 percentage points in absolute value.[21] The confidence intervals are about ±1 percentage point wide, so the data rule out differences larger than about one percentage point between pairs but are uninformative about smaller ones. Without a pure control group, I cannot identify a common effect of reading any narrative. Two mechanisms could produce the null: confronting a second narrative may mute the channel from a narrative's weight to expectations, or two narratives may divide attention and so attenuate each one's effect.[22]

5.5 Narrative Weight and the Response to a Tariff Forecast

Forecast treatment. The second treatment of the first survey tests whether news about a narrative's driver moves inflation expectations, and whether the weight a household places on the narrative moderates this effect. I randomly split respondents into two groups, each receiving an expert forecast of U.S. import tariffs by the end of 2025, elicited in the Q2 2025 EES wave. One group receives a high tariff forecast (23%, the third quartile of expert forecasts) and the other a low tariff forecast (15%, the first quartile). The high-forecast treatment reads:

In a recent survey of leading economic experts, participants were asked about their ***expectations for import tariffs****.*
Experts expect that by the end of 2025, the ***United States government*** *will have imposed an* ***average import tariff of 23%*** *on goods imported from other countries.*
For example, suppose a car imported from outside the U.S. would cost the ***importer $20,000*** *without tariffs. A* ***23% import tariff*** *would require the importer to pay an additional* ***$4,600*** *in tariffs, raising the total costs for the importer to* ***$24,600****.*

The low forecast is an active control.[23] After the forecast, I elicit 12-month-ahead inflation expectations. I estimate

$$Y_{Post,i} = \beta_0 + \beta_1 Y_{Pre,i} + \beta_2 \,\text{Tariff High}_i + \gamma' X_i + \epsilon_i, \tag{12}$$

[21] The result also holds when prior and posterior expectations are top- and bottom-coded at 20% and 0%.

[22] Andre et al. (2026) find a significant effect of narratives on inflation expectations in an experiment with a single narrative treatment.

[23] The active control isolates the effect of receiving a high tariff forecast. A passive control group would also pick up the effect of receiving any tariff forecast, for example through greater awareness of tariffs.

where $Y_{Post,i}$ is respondent i's 12-month-ahead inflation expectation, $Y_{Pre,i}$ is the pre-treatment inflation expectation,[24] and Tariff High$_i$ equals 1 if the respondent received the high tariff forecast and 0 if the respondent received the low forecast. X_i includes dummies for the narrative treatments, to control for differences across the groups of the first treatment, and prespecified covariates: age, gender, education, employment status, income, political ideology, indicators for perceiving experts as trustworthy regarding economic news, and reported attention to news about inflation.

Average effect. The high forecast raises 12-month inflation expectations by 1.3 percentage points relative to the low forecast, an effect significant at the 1 percent level (columns 1 and 2 of Table 5). Because the two forecasts differ by 8 percentage points of average tariffs, a one percentage point higher tariff forecast raises expected inflation by about 0.16 percentage points, and the effect amounts to 11 percent of the mean expectation.

Narrative weight and attention. Next, I ask whether the effect of the tariff forecast depends on the narratives respondents hold when they receive it. A household that views tariffs as a central driver of inflation has more reason to translate news about tariffs into its inflation forecast. I split the sample by whether tariffs and trade conflicts receive the largest weight in the respondent's posterior (column 3) or not (column 4). The forecast raises expectations by 1.43 percentage points among respondents whose dominant posterior narrative is tariffs and by 0.93 percentage points among the other respondents. Classifying respondents instead by their answer to the open-ended question about the main driver of inflation, asked before the forecast, yields qualitatively similar results. The response also differs by the attention a household paid to the tariff narrative. Among the 1,968 respondents who read the tariff narrative, the forecast raises expectations by 1.20 percentage points among those who read it for longer than the median (16.5 seconds) and by 0.29 percentage points among those who read it for less (columns 5 and 6). Finally, the forecast increases expectations more among Harris voters (1.67 percentage points) than for Trump voters (1.10 percentage points; columns 7 and 8).

5.6 Recap

Jointly, the first survey shows how attention and prior beliefs shape the processing of new information. First, reading a narrative raises its weight in the household's own account of inflation, and more so among households that read longer or are less confident in their priors, as Bayesian updating implies. Second, which narratives households read does not move their inflation expectations by more than about one percentage point. Third, a quantitative

[24] I use the calendar-year inflation expectations elicited after the first treatment, which are orthogonal to assignment in the second treatment. I also use the inflation expectations elicited before the first treatment to increase precision. Both are calendar-year measures, so their horizon differs from the 12-month outcome.

Table 5 Effect of the Tariff Forecast on Inflation Expectations, Full Sample and by Posterior Narrative, Reading Time, and Vote

Panel A. Full sample and by dominant posterior narrative				
	Full sample		Dominant posterior narrative	
	(1)	(2)	(3) Tariffs	(4) Other
Tariff forecast high	1.302***	1.260***	1.426***	0.932*
	(0.361)	(0.361)	(0.458)	(0.536)
Controls	Yes	Yes	Yes	Yes
Inflation prior	Yes	Yes	Yes	Yes
Day fixed effects	No	Yes	Yes	Yes
Mean of dependent variable	11.67	11.67	10.56	12.65
Observations	2,935	2,935	1,382	1,553
R^2	0.631	0.636	0.622	0.648
Panel B. By reading time on the tariff narrative and by 2024 vote				
	Reading time, tariff narrative		2024 vote	
	(5) Below median	(6) Above median	(7) Harris	(8) Trump
Tariff forecast high	0.290	1.200**	1.666***	1.095**
	(0.703)	(0.471)	(0.542)	(0.512)
Controls	Yes	Yes	Yes	Yes
Inflation prior	Yes	Yes	Yes	Yes
Day fixed effects	Yes	Yes	Yes	Yes
Mean of dependent variable	14.14	8.90	12.39	10.34
Observations	983	985	1,404	1,141
R^2	0.684	0.664	0.632	0.668

Notes: This table displays OLS regression results of households' 12-month-ahead inflation expectations on the provision of the high import tariff forecast. The dependent variable is the post-treatment 12-month-ahead inflation expectation. Inflation expectations are trimmed at the 1% tails. "Tariff forecast high" is a treatment indicator equal to 1 if the respondent was randomly assigned to the higher import tariff forecast (experts predicting average import tariffs of 23%) and 0 if the respondent received the lower import tariff forecast (experts predicting a 15% average import tariff). Columns (3) and (4) split the sample by whether the respondent's dominant posterior narrative, elicited prior to the tariff forecast treatment, is "Tariffs and Trade Conflicts" (column 3) or not (column 4). Columns (5) and (6) use respondents who read the tariff narrative and split them at the median reading time on that narrative (16.5 seconds); the tariff-narrative indicator is dropped because it is constant in this sample. Columns (7) and (8) use respondents who voted for Harris and for Trump in 2024; the 2024 vote indicator is dropped from the controls within each group. "Inflation prior" controls for the pre-tariff treatment inflation expectations of 2025 calendar year inflation. Controls include dummies for age, gender, education, employment status, income and voting indicators for the 2024 presidential election as well as indicators for perceiving experts as trustworthy regarding news and for reporting attention to inflation. Day fixed effects are included to account for contemporaneous shocks. Mean of dependent variable reports the mean of the dependent variable in the corresponding subsample.
* $p < 0.1$, ** $p < 0.05$, *** $p < 0.01$. Robust standard errors in parentheses.

tariff forecast moves expectations, and households that place more weight on the tariff narrative or read it longer respond more strongly.

6 Macroeconomic Implications of Sticky Narratives

Households revise their attribution of inflation after reading expert narratives (Section 5). This section asks what such revisions imply for inflation and consumption when they occur gradually. I embed a sticky household narrative in the New Keynesian model of Andre et al. (2026). A single shock hits the economy, and a temporary public narrative attributes part of the resulting inflation to the wrong cause. The main result is that the speed of narrative revision governs the timing of the inflation response rather than its cumulative size. The exercise is illustrative, because several of its inputs are not yet disciplined by the survey (Section 6.3).

6.1 Environment

The structural block follows Andre et al. (2026). All variables are log deviations from a zero-inflation steady state, and a period is a quarter:

$$\pi_t = \beta \widehat{E}^F_t \pi_{t+1} + \kappa\big[(\gamma+\varsigma\alpha)c_t + \varsigma(1-\alpha)g_t - (1+\varsigma)a_t\big], \tag{13}$$

$$c_t = \widehat{E}^H_t c_{t+1} - \tfrac{1}{\gamma}\big(i_t - \widehat{E}^H_t \pi_{t+1}\big), \tag{14}$$

$$i_t = \phi \pi_t + \nu_t. \tag{15}$$

Equation (13) is the Phillips curve: inflation π_t rises with firms' expected inflation $\widehat{E}^F_t \pi_{t+1}$, with consumption c_t and government spending g_t, and falls with productivity a_t. The slope $\kappa = (1-\theta)(1-\beta\theta)/\theta$ depends on the Calvo probability θ that a firm cannot reset its price. Equation (14) is the households' Euler equation, with γ the inverse of the intertemporal elasticity of substitution. Equation (15) is a Taylor rule with coefficient $\phi > 1$ and monetary-policy shock ν_t. The hats mark expectations that may be subjective. In each experiment exactly one factor $z \in \{a, \nu\}$ is active and follows $z_t = z_0 \rho_z^t$; the other factors are zero at all dates.

Narratives. In Andre et al. (2026), a narrative is a subjective causal model of inflation. A household that attributes a share $\omega_{x,t}$ of current inflation to cause x, and believes that cause x decays at rate ρ_x, expects next-period inflation $\big(\sum_x \omega_{x,t}\rho_x\big)\pi_t$. I keep this formalization and let the narrative be misspecified. Households attribute a share s_t of current inflation to a cause b that is not active, and the remaining share $1 - s_t$ to the true cause z:

$$\widehat{E}^H_t \pi_{t+1} = A_t \pi_t, \qquad A_t \equiv (1-s_t)\rho_z + s_t \rho_b. \tag{16}$$

The narrative enters only through A_t, the persistence that households ascribe to current inflation. Attributing inflation to a more transitory cause ($\rho_b < \rho_z$) therefore *lowers* expected inflation. Misattributing a single active shock requires that households observe in-

flation but not its causes. This departs from the complete-information assumption in Andre et al. (2026). It matches the survey, however, in which respondents attribute inflation across causes they do not observe.

Sticky narratives. Households start from their original narrative s^o, which I set to the correct attribution, $s^o = 0$. In quarters $t_0, \ldots, t_0 + L - 1$, a public narrative attributes a share $\bar{s}$ of inflation to cause b. Households move toward it at gain $\eta \in [0, 1]$ and revert toward their original narrative at the same gain once it disappears:

$$s_t = (1 - \eta)\, s_{t-1} + \eta\, \tilde{s}_t, \qquad \tilde{s}_t = \begin{cases} \bar{s} & t_0 \le t \le t_0 + L - 1, \\ s^o & \text{otherwise.} \end{cases} \tag{17}$$

The gain spans two benchmarks. With $\eta = 0$, households ignore the public narrative, and the economy follows its rational-expectations equilibrium (REE) path. With $\eta = 1$, households adopt the public narrative immediately and abandon it as soon as it ends.

Expectations and timing. The episode is unanticipated. In quarter 0, all agents expect the original narrative to persist, so quarter 0 coincides with the REE. From t_0 onward, the narrative path (17) is deterministic, including the end of the episode. Firms and households' forecasts of their own income are rational about the actual path: $\widehat{E}_t^F \pi_{t+1} = \pi_{t+1}$ and $\widehat{E}_t^H c_{t+1} = c_{t+1}$. This is the dynamic counterpart of the case in Andre et al. (2026) in which only households' inflation narrative is subjective. Households form inflation expectations from their current narrative (16) and do not anticipate its revision. They respond to the revision only indirectly, through their rational forecast of their own consumption.

Equilibrium. Substituting (15), (16) and the forecast assumptions into (13)–(14) gives, for $t \ge t_0$,

$$\pi_t - \kappa(\gamma + \varsigma\alpha)\, c_t = \beta \pi_{t+1} + d_t, \tag{18}$$

$$\tfrac{\phi - A_t}{\gamma}\, \pi_t + c_t = c_{t+1} - \tfrac{\nu_t}{\gamma}, \tag{19}$$

where $d_t \equiv \kappa[\varsigma(1-\alpha) g_t - (1+\varsigma) a_t]$ collects the supply terms. The narrative enters only (19), through the perceived real-rate coefficient $\phi - A_t$. The system has no endogenous state vari-

able, so I solve it backward from a terminal date at which the narrative has converged to s^o.[25] Iterating (19) forward isolates the channel:

$$c_t = -\frac{1}{\gamma}\sum_{j\geq 0}\Big[\underbrace{(\phi - A_{t+j})\,\pi_{t+j}}_{\text{perceived real rate}} + \nu_{t+j}\Big].$$

For given inflation, a narrative that lowers A_t raises the perceived real rate. Consumption falls, and so, through (18), does inflation.

Calibration. Structural parameters and shock sizes follow Andre et al. (2026): $\beta = 0.99$, $\gamma = 1$, $\varsigma = 5$, $\theta = 0.75$, $\phi = 1.5$, $\alpha = 0.8$, $\rho_a = 0.9$, $\rho_\nu = 0.5$, $a_0 = -0.10$ and $\nu_0 = -0.02$. The public narrative attributes $\bar{s} = 0.30$ of inflation to the inactive cause in quarters 1–6. I report two gains, $\eta = 0.25$ and $\eta = 0.476$, alongside the benchmarks $\eta = 0$ and $\eta = 1$.[26] The public narrative's share, its length and the gains are not yet calibrated to the survey.

6.2 Results

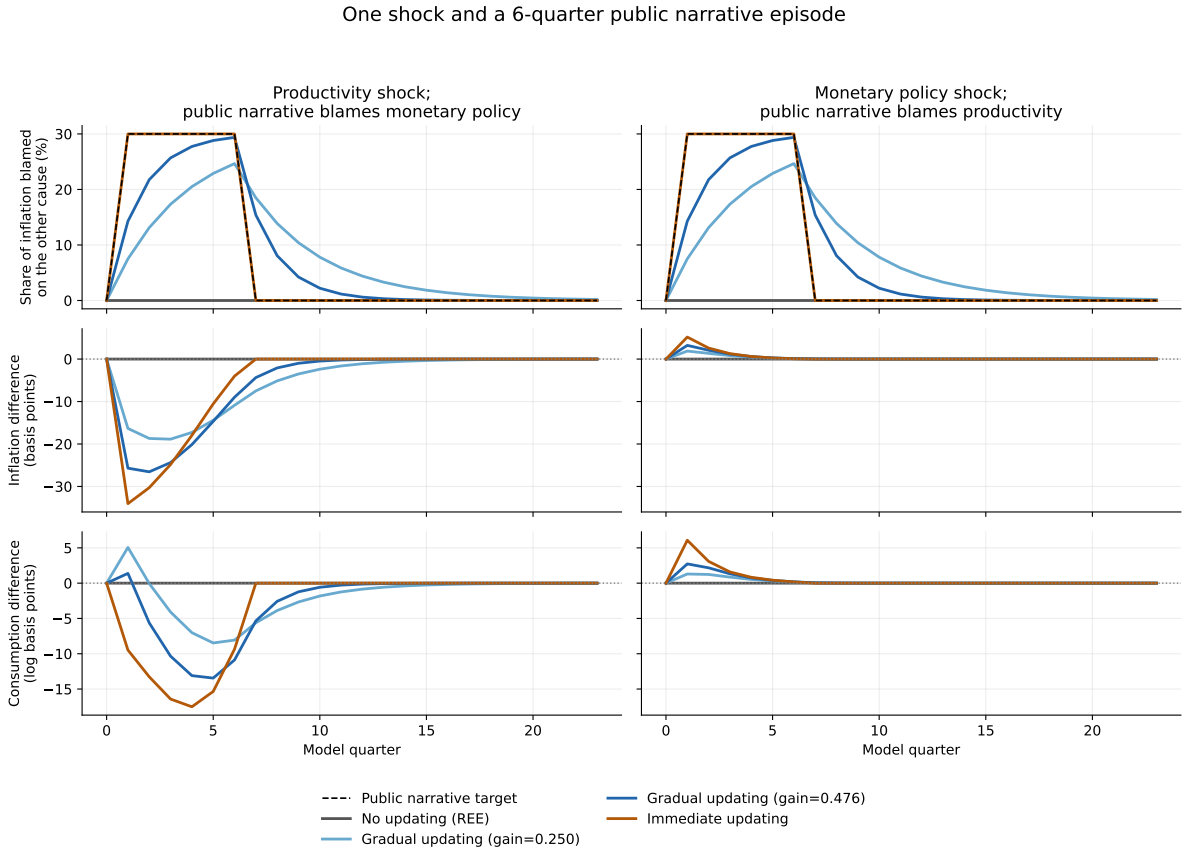
Figure 6 contrasts two experiments. In the left column, a persistent productivity shock hits while the public narrative blames monetary policy, a transitory cause. In the right column, a transitory monetary-policy shock hits while the public narrative blames productivity, a persistent cause. The top row shows the narrative; the middle and bottom rows show inflation and consumption relative to the REE.

My first result is that misattributing a persistent shock to a transitory cause *lowers* inflation substantially. At $\eta = 0.476$, inflation falls 26.6 basis points below its REE path in quarter 2, or 17% of REE inflation in that quarter: households read part of the inflation as transitory, perceive a higher real rate, and cut consumption. Over 24 quarters, the cumulative gap amounts to -128.7 basis points, about 7% of cumulative REE inflation. The response builds up before households have adopted the public narrative. In quarter 1, the inflation gap is already 25.7 basis points, although households attribute only 14% of inflation to monetary policy at that point. Firms and households' income forecasts anticipate the further drift to-

[25] At each date, (18)–(19) form a linear system in (π_t, c_t) with determinant $1+\kappa(\gamma+\varsigma\alpha)(\phi-A_t)/\gamma > 0$. The terminal date is $T = 600$, at which the narrative equals s^o to machine precision and the solution is the stationary one, $x_{T+1} = \rho_z x_T$. The eigenvalues of the backward map have modulus 0.83–0.89, so any error in the terminal condition vanishes long before quarter 0. With a constant narrative the solution reproduces the closed form in Andre et al. (2026) for a household inflation narrative with rational firms and income expectations, and with $s_t = 0$ it reproduces their REE; equation residuals on every plotted path are below 10^{-16}. An independent solver that stacks all 600 periods yields identical paths.

[26] [TODO: The gains are illustrative. The per-respondent revision rates in the survey do not separate from a placebo on narratives respondents did not read, and the randomized exposure identifies an average shift in attribution per reading rather than a quarterly gain; see the calibration in version 2 (andre_one_state_bundle/irf_episode_v2_model.md) before citing any gain as a survey estimate.]

Figure 6 One Shock and a Temporary Public Narrative



Notes: The figure shows impulse responses to a single shock in the New Keynesian model of Section 6. In quarters 1–6 a public narrative attributes 30% of inflation to an inactive cause (dashed line, top row); households move toward it at gain η and revert toward the correct narrative afterwards. Inflation (basis points) and consumption (log basis points) are shown as differences from the rational-expectations path. Left: productivity shock ($a_0 = -0.10$, $\rho_a = 0.9$), public narrative blames monetary policy ($\rho_v = 0.5$). Right: monetary-policy shock ($v_0 = -0.02$, $\rho_v = 0.5$), public narrative blames productivity. The episode is unanticipated; firms and households' income forecasts are rational about the actual path. Parameters follow Andre et al. (2026).

ward the public narrative, and their combination accounts for most of this early response.[27] Consumption falls by up to 13.5 log basis points. It rises briefly in quarter 1, because lower expected inflation offsets the higher real rate implied by the narrative.

My second result is that the gain governs the timing of the response rather than its cumulative size. A slower gain produces a smaller and later peak and a longer tail. At $\eta = 0.25$, the peak gap is 18.9 basis points in quarter 3. Four quarters after the public narrative disappears, inflation remains 1.6 basis points below its REE path, compared with 0.2 basis points at $\eta = 0.476$ and zero under immediate updating. Strikingly, the cumulative gap barely moves across gains: -120.0, -128.7 and -121.7 basis points at $\eta = 0.25$, 0.476 and 1. Sticky narratives thus shift the inflation effect of a public narrative into the future: the share of the cumulative effect that materializes after the episode rises from 6.5% at $\eta = 0.476$ to 19.6% at $\eta = 0.25$. After the episode, the gap closes at a rate of about $(1-\eta)\rho_z$ per quarter. A prolonged return therefore requires both slow narrative revision and a persistent underlying shock.

By contrast, a narrative about a transitory shock has small and short-lived consequences, whatever the gain (right column). When the public narrative attributes a monetary-policy shock to productivity, households overstate the persistence of inflation, and inflation is *higher*. The gap peaks at 3.2 basis points at $\eta = 0.476$ and vanishes within four quarters: the shock itself decays at rate 0.5, so there is little inflation left to misattribute.

Taken together, sticky narratives matter for inflation when they concern persistent shocks, and the speed of revision determines when, rather than how much, a public narrative moves inflation. I next examine which assumptions these results depend on.

6.3 Robustness and Limitations

The direction and order of magnitude of the productivity result survive most changes to the model. Table 6 varies one assumption at a time. The effect remains negative and of similar size when the gain changes, when the end of the episode comes as a surprise, when firms or income forecasts follow the static REE rule of Andre et al. (2026), when prices are more or less sticky, and when the true shock is more or less persistent. Its magnitude scales roughly proportionally with the public narrative's share, with the length of the episode, and with the persistence gap between the true and the blamed cause. If the public narrative blames a cause with persistence 0.8 (as government spending in Andre et al. (2026)) instead of 0.5, the cumulative effect falls to about a quarter. A weaker monetary-policy response ($\phi = 1.25$) amplifies it to -306.5 basis points.

Importantly, two assumptions determine the sign of the effect. Households may also apply the narrative to their income forecasts ($\widehat{E}_t^H c_{t+1} = A_t c_t$), or they may plan over an infinite

[27] Holding the narrative at its quarter-1 value forever yields a gap of 14.5 basis points; rational firms alone raise it to 16.2 and rational income forecasts alone to 16.4 basis points, while both together yield 25.7.

horizon and know the Taylor rule [TODO: cite Preston (2005); Eusepi and Preston (2011); add to .bib]. In either case, the same episode *raises* cumulative inflation, by 575.2 and 512.2 basis points. The infinite-horizon reversal has a simple logic: households that read inflation as transitory also expect the policy-rate response to be transitory. With $\beta\phi > 1$, the perceived cumulative real-rate tightening $(\phi - A_t)/(1-\beta A_t)$ falls as A_t falls. The static analysis in Andre et al. (2026) does not confront this choice. My survey does not measure households' income expectations or planning horizons, so the direction of the aggregate effect remains an open empirical question.

Table 6 Sticky Narratives: Sensitivity of the Productivity Experiment

Variant	Peak π gap (bp)	Cumulative π gap (bp)	Share after episode (%)	Cumulative c gap (log bp)
Baseline ($\eta = 0.476$, $\bar{s} = 0.3$, $L = 6$)	−26.6	−128.7	6.5	−62.3
Gain $\eta = 0.25$	−18.9	−120.0	19.6	−40.5
Gain $\eta = 1$	−34.0	−121.7	0.0	−81.4
Public narrative share $\bar{s} = 0.5$	−40.0	−198.0	6.9	−93.2
Episode length $L = 12$ quarters	−20.8	−192.6	2.3	−50.4
Blamed-cause persistence $\rho_b = 0.8$	−7.5	−35.4	6.0	−17.7
True-shock persistence $\rho_z = 0.95$	−21.7	−111.1	8.0	−49.2
End of episode unanticipated	−21.9	−125.9	6.6	−27.5
Firms use static REE rule	−20.1	−120.4	11.5	−30.6
Firms share the narrative	−25.9	−153.7	18.4	130.1
Taylor coefficient $\phi = 1.25$	−71.0	−306.5	5.6	−170.9
Calvo parameter $\theta = 0.85$	−22.2	−82.5	4.5	−163.4
Income forecasts follow the narrative	97.5	575.2	11.5	204.3
Infinite-horizon households	87.2	512.2	11.3	183.5

Notes: Productivity shock ($a_0 = -0.10$, $\rho_a = 0.9$); public narrative blames monetary policy in quarters 1–6; differences from the path without the episode (the REE), summed over 40 quarters. Each row changes one assumption relative to the baseline. "Share after episode" is the share of the cumulative inflation gap realized after the public narrative ends. Source: andre_one_state_bundle/outputs/stress_test_episode/stress_test.md.

Three further limitations bound the exercise. First, the gains, the public narrative's share and its length are illustrative. Reversion toward the original narrative at the same gain is an assumption that the survey cannot test without a follow-up wave. Second, the persistence gap between causes scales the effect one-for-one, yet it comes from Andre et al. (2026) rather than from respondents' beliefs. The survey's treated narratives (tariffs, government spending, government mismanagement) also do not coincide with the model's factors. Third, the survey identifies the effect of narratives on attribution. It cannot yet confirm the link from attribution to inflation expectations at the magnitudes the model implies. [TODO: Decide whether to replace this section with the survey-anchored version 2 (tariff cost-push and government-spending shocks, gain per reading from the randomized exposure).]

7 Conclusion

This paper studies how households allocate attention across competing inflation narratives and how that attention shapes expectation formation. I develop a framework with two predictions and test them in two pre-registered survey experiments among U.S. households: one in which respondents read two assigned narratives, and one in which respondents choose which narrative to learn about. The narratives come from a survey of U.S. economists, who weight tariffs, government spending, and government mismanagement most heavily.

The two predictions find support. Households read longer about narratives they understand less well, and they ask for more information about narratives they believe contribute more to inflation. Two results qualify this. Perceived contribution does not raise reading time and lowers it in the first survey, which contradicts an implication of the reading problem. At the acquisition margin, perceived contribution predicts the choice in the second survey and in the first survey (Appendix A.1). Partisanship changes households' priors, their engagement, and which narratives they pursue, but not the attention rule. Attention also predicts belief updating: respondents who read a narrative for longer than the median raise its weight by 6.3 points, against 3.8 points for those who read it for less. Exposure to a narrative shifts its perceived contribution, and the narrative pairs do not differ in their effect on inflation expectations. Attention also shapes the response to new quantitative information. Respondents who read the tariff narrative for longer update their 12-month inflation expectations more strongly in reaction to an expert tariff forecast (1.20 versus 0.29 percentage points), as do respondents who already view tariffs as the dominant driver of inflation (1.43 versus 0.93 points).

These results bear on policy communication. If a message shifts beliefs mainly among households that engage with it, and engagement follows what a household already understands and what it believes is at stake, the same announcement reaches households differently. Communication then requires attention to which narratives an audience holds, in addition to the content of the message.

Two limits shape how far the evidence goes. Understanding and perceived contribution are self-reported and correlated, so the framework's distinction between them rests on measures that may proxy for one another. Both surveys also measure attention through stated choices and screen time within a survey, not through the information households seek in their daily lives. A natural next step is to study how attention evolves under repeated exposure to a narrative, and how competing narratives interact when more than two are in play.

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A Additional Tables

Table A.1 Characteristics of EES Respondents

Category	Subgroup	% Share
Gender	Male	84.1
	Female	14.2
Age	<34	1.4
	35–44	16.1
	45–54	28.6
	55–64	27.2
	65+	29.1
Sector/Affiliation	Academia	61.8
	Private Sector	9.5
	Public Sector	5.3
	Central Bank	5.8
	Research Institutes & Think Tanks	14.8
	Other	2.8
Region	Europe	52.4
	Americas	21.7
	Asia	15.2
	Africa	8.2
	Oceania	2.5

Notes: The table shows the characteristics of participants in the Economic Experts Survey. The relative shares of experts with the specified characteristics are based on data from Q2 2025.

Table A.2 Summary Statistics: U.S. Expert Sample

	Mean	Standard deviation	Median	Observations
Personal characteristics:				
Years since PhD	28	14.7	24	117
Male	0.86			127
X/Bluesky Followers	5,886	10,513	1,720	49
Academic output:				
Number of TOP 5 publications	4.5	6.3	2	125
H-index	36.2	29.3	27	117
Citations	16,299	32,645	5,320	117
Policy output:				
Number of policy briefs	21.3	40.7	9.5	104
Media mentions	90.4	403.2	5.5	104

Notes: The table lists characteristics of the economic experts based in the U.S. who participated in the Economic Experts Survey. Characteristics of experts are manually collected.

Table A.3 Household Sample Composition and Representativeness

Category	Subgroup	Survey 1	Survey 2	U.S. Population
Gender	Male	0.50	0.48	0.50
	Female	0.50	0.51	0.50
Age	18–24	0.12	0.12	0.12
	25–34	0.14	0.19	0.17
	35–44	0.19	0.18	0.17
	45–54	0.15	0.16	0.15
	55–64	0.17	0.24	0.16
	65+	0.24	0.10	0.23
Income	$0–19,999	0.11	–	0.11
	$20,000–39,999	0.14	–	0.13
	$40,000–69,999	0.19	–	0.19
	$70,000–89,999	0.12	–	0.11
	$90,000–109,999	0.08	–	0.09
	$110,000–149,999	0.13	–	0.13
	$150,000–199,999	0.11	–	0.10
	$200,000+	0.11	–	0.14
Income, Survey 2	Less than $25,000	–	0.11	–
	$25,000–49,999	–	0.17	–
	$50,000–74,999	–	0.22	–
	$75,000–99,999	–	0.16	–
	$100,000–149,999	–	0.17	–
	$150,000–199,999	–	0.09	–
	$200,000 or more	–	0.07	–
Race	White	0.71	–	0.60
	African American/Black	0.12	–	0.12
	Asian/Asian American	0.08	–	0.07
	Hispanic/Latino	0.06	–	0.18
	Mixed Race/Other	0.03	–	0.03
Region	Northeast	0.20	–	0.17
	South	0.23	–	0.38
	Midwest	0.31	–	0.21
	West	0.25	–	0.24
Education	High school or less	0.26	0.14	0.36
	Some College/College	0.55	0.70	0.51
	Master	0.14	0.14	0.09
	PhD or Professional Degree	0.05	0.03	0.04
Employment	Employed	0.62	0.77	0.67
	Unemployed	0.11	0.06	0.03
	Not in labor force	0.27	0.17	0.30
2024 vote	Trump	0.39	–	0.48
	Harris	0.47	–	0.50
	Others	0.05	–	0.02
	Don't know/Don't want to say	0.09	–	0.00
Party, Survey 2	Democrat	–	0.34	–
	Republican	–	0.27	–
	Independent	–	0.39	–
Observations		3,002	400	

Notes: The table displays summary statistics for the survey respondents and the overall U.S. population. National statistics are from the U.S. Census Bureau (2022). Survey quotas were designed to achieve a nationally representative sample in gender, age and income. Survey 2 shares refer to the 395 of the 400 respondents in the second survey's analysis sample with demographic information. Survey 2 education and employment answers are mapped to the Survey 1 categories (employed includes full-time, part-time and self-employed). Survey 2 does not elicit race, region, or the 2024 vote, elicits political affiliation instead, and uses different income brackets, which are reported separately; shares within a category need not sum to one because of answers such as "prefer not to answer."

Table A.4 Updating of Inflation Narratives – Role of Uncertainty

	Tariffs/ Trade conflicts		Government spending		Government mismanagement	
	(1)	(2)	(3)	(4)	(5)	(6)
Prior uncertainty	Low	High	Low	High	Low	High
Narrative in treatment	3.929***	8.361***	2.117***	6.003***	4.141***	9.287***
	(0.753)	(1.049)	(0.671)	(0.822)	(0.819)	(0.979)
Prior narrative weight	0.600***	0.551***	0.366***	0.422***	0.496***	0.422***
	(0.028)	(0.041)	(0.044)	(0.052)	(0.036)	(0.054)
Controls	Yes	Yes	Yes	Yes	Yes	Yes
Total narrative time	Yes	Yes	Yes	Yes	Yes	Yes
Mean of dependent variable	23.71	24.76	12.98	14.41	19.93	20.43
Observations	1,898	1,104	1,898	1,104	1,898	1,104
R^2	0.479	0.373	0.158	0.189	0.251	0.198

Notes: This table displays OLS regression results of households' beliefs about inflation narratives on the provision of this narrative, separately estimated for respondents with low and high uncertainty about their (prior) inflation narratives. The dependent variable is the post-treatment weight (0–100 scale) the respondent assigns to the focal inflation narrative ("Tariffs/Trade Conflicts," "Government Spending," or "Government Mismanagement"). "Narrative in treatment" is a treatment indicator equal to 1 if that focal narrative was one of the two narratives randomly assigned to the respondent. "Prior narrative weight" is the pre-treatment weight for the same narrative (same 0–100 scale). The "Low" and "High" prior-uncertainty columns split the sample into respondents with low uncertainty (5 or higher on certainty scale) and high uncertainty (4 or lower on certainty scale) regarding their own prior inflation narratives. Controls include dummies for age, gender, education, employment status, income and voting indicators for the 2024 presidential election as well as indicators for perceiving experts as trustworthy regarding news and for reporting attention to inflation. "Total narrative time" measures the total time spent on the two screens. Mean of dependent variable reports the mean of the dependent variable in the corresponding subsample.
* $p < 0.1$, ** $p < 0.05$, *** $p < 0.01$. Robust standard errors in parentheses.

A.1 Acquisition After Reading (Survey 1)

After seeing both narratives, respondents choose whether to acquire additional information about one of the two presented narratives, both, a third narrative they did not see, or none. The choice is single-select, so requesting the first narrative alone excludes requesting the second; I therefore code a narrative as acquired only if it was requested alone. This choice maps onto Proposition 2: households should ask about the narrative they believe explains more of inflation. The requested information is provided only at the end of the survey, so the choice does not affect posterior beliefs.

At this timing the framework still predicts that perceived contribution raises acquisition, so the first survey provides a second test of that prediction under a different timing. It does not test the prediction for understanding (Appendix E.3). The distribution of choices is similar across the three treatment groups: close to half of respondents request information about both narratives they read, around 30% about one of them, about 5% about the third narrative, and roughly 20% decline. Table A.5 regresses the acquisition indicator on standardized perceived contribution and understanding, again pooling the two narratives each respondent sees. A standard deviation of perceived contribution raises the probability that a narrative is requested alone by 2.2 percentage points, which is smaller than in the second survey and may reflect the different sample, choice set, and format;

understanding has no effect (0.3 points, $p = 0.57$). The two coefficients differ significantly (Wald $p = 0.036$).

Table A.5 Acquisition of Additional Information (Linear Probability Model, Percentage Points per Standard Deviation)

	(1)	(2)
Perceived contribution (std.)	1.85***	2.24***
	(0.58)	(0.58)
Understanding (std.)	−0.14	0.30
	(0.53)	(0.53)
Narrative fixed effects, order	Yes	Yes
Controls	No	Yes
Observations	6,004	6,004

Notes: Two observations per respondent, one for each narrative shown ($N = 3{,}002$ respondents). The outcome is 1 if the respondent requested information about this narrative alone. Perceived contribution is the pre-treatment weight and understanding is 10 minus the rank, both standardized. Controls as in Table 2. Standard errors clustered by respondent. * $p < 0.10$, ** $p < 0.05$, *** $p < 0.01$.

The framework predicts no role for understanding after reading only if reading equalizes precision (Appendix E.3). The reading-time evidence does not support that assumption, so I do not treat the first survey's understanding estimates as a test of the framework.

Table A.6 Persistence of Acquisition across Waves, Second Survey

Panel A. Follow-up first choice by second-survey first choice (row percent)

	Follow-up first choice		
Second-survey first choice	Tariffs	Energy	Government spending
Tariffs ($n = 121$)	**46.3**	22.3	31.4
Energy ($n = 75$)	25.3	**42.7**	32.0
Government spending ($n = 133$)	23.3	24.8	**51.9**
Same first choice in both waves (percent)	47.7	[42.4, 53.1]	
Expected if choices independent (percent)	34.3		
Cohen's κ	0.20	[0.12, 0.28]	
One-sided binomial p-value (H_0: one third)	< 0.001		

Panel B. First choice and beliefs in both waves

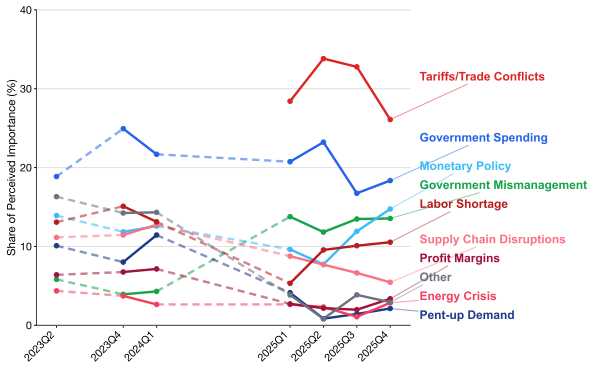
	Conditional logit		Linear probability
	Second survey	Follow-up	Both waves
	(1)	(2)	(3)
Perceived contribution (std.)	0.433***	0.207***	0.020
	(0.071)	(0.065)	(0.019)
Understanding (std.)	−0.118	0.137	−0.002
	(0.123)	(0.119)	(0.016)
Narrative fixed effects	Yes	Yes	–
Respondent × narrative fixed effects	No	No	Yes
Narrative × wave fixed effects	No	No	Yes
Respondents	329	329	329
Observations	987	987	1,974

Notes: Respondents of the second survey's analysis sample who complete the follow-up about two weeks later and pass the duration exclusions (one third to three times the median completion time); fielded October 6–14, 2026. Panel A: row percent of the follow-up first choice; diagonal in bold. The expected share pairs the two waves' marginal distributions independently. Brackets: 95 percent Wilson interval for the repeat share and bootstrap interval (2,000 draws) for κ. Panel B: columns (1) and (2) are conditional logits with narrative fixed effects, estimated on the same respondents; column (3) stacks both waves and estimates a linear probability model of choosing a narrative first with respondent-by-narrative and narrative-by-wave fixed effects, so that it uses only changes in beliefs between waves. Perceived contribution and understanding are standardized across narratives. Standard errors clustered by respondent in parentheses. * $p < 0.10$, ** $p < 0.05$, *** $p < 0.01$.

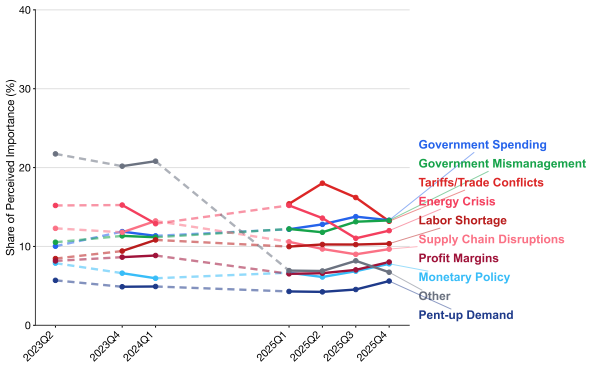
B Additional Figures

Figure B.1 Inflation Narratives of Experts, 2023–2025

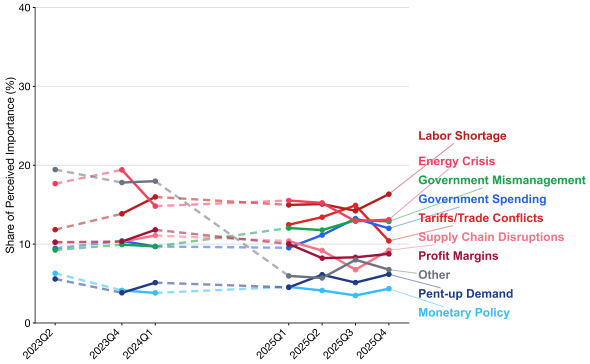
(a) U.S. Experts



(b) All Experts



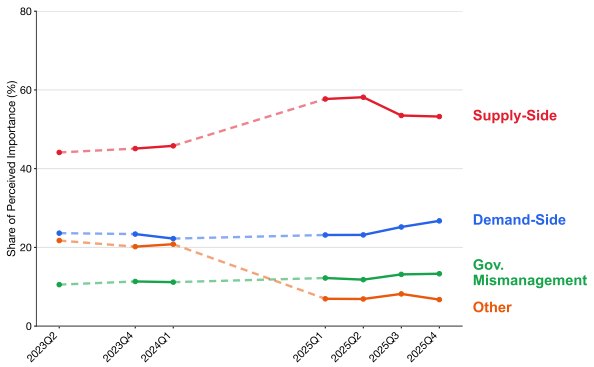
(c) European Experts



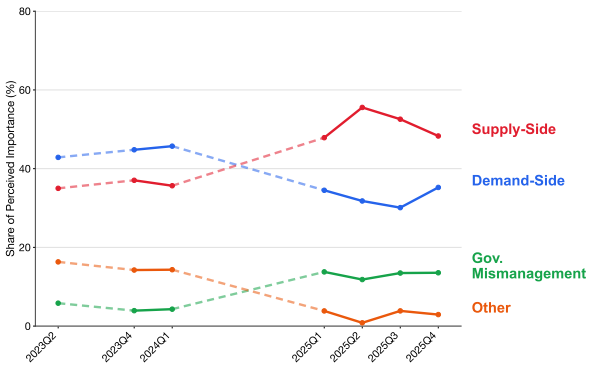
Notes: The figure plots the weight that economic experts in the United States (panel a), worldwide (panel b), and in Europe (panel c) assign to each inflation narrative in the Economic Experts Survey; weights sum to 100% for each respondent. For panels (b) and (c), narratives are averaged at the country level and then across countries. The data include the waves Q2 2023, Q4 2023, Q1 2024, and Q1 2025–Q4 2025; dashed lines connect waves that are more than one quarter apart. Tariffs enter the questionnaire in Q1 2025. The pandemic and the war in Ukraine were offered as separate options only until Q1 2024 and are part of "Other".

Figure B.2 Demand-Side and Supply-Side Narratives of Economic Experts Over Time

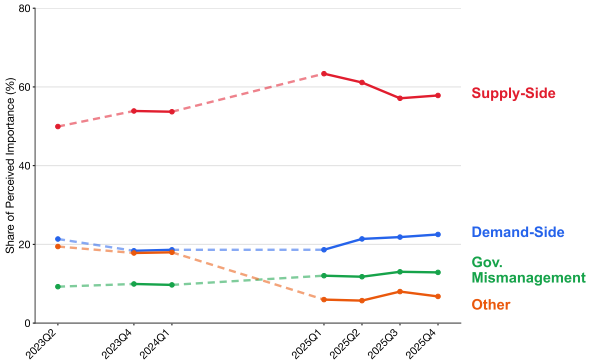
(a) All Experts



(b) U.S. Experts

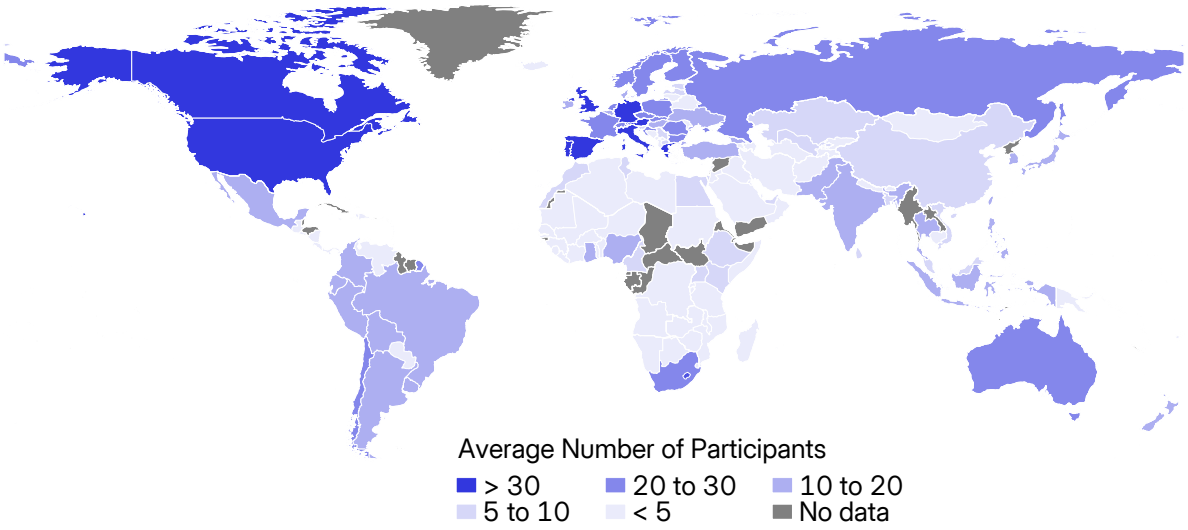


(c) European Experts



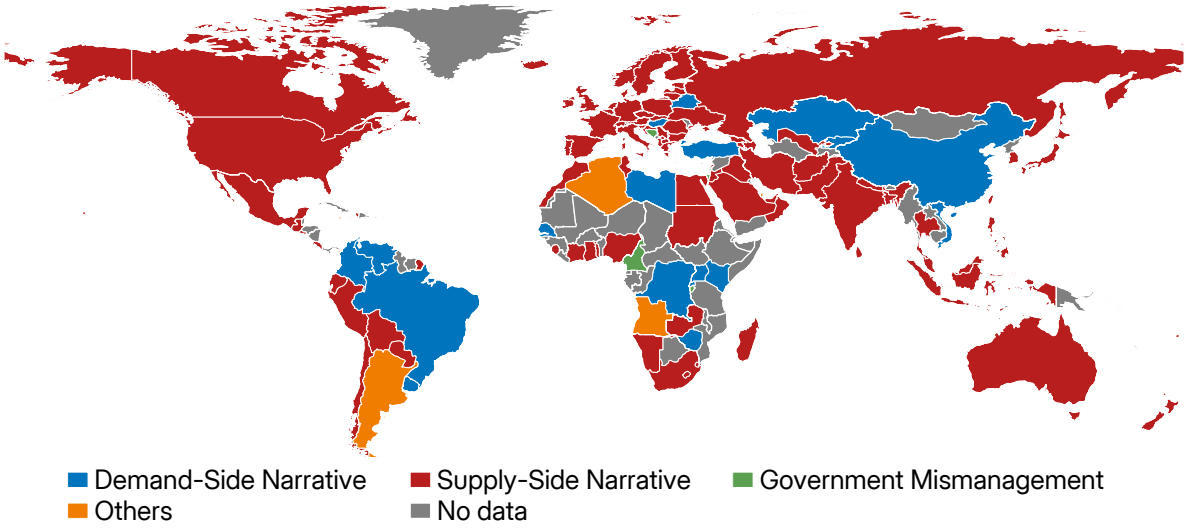
Notes: The figures plot the perceived contribution of grouped inflation narratives of economic experts worldwide (panel a), in the United States (panel b), and in Europe (panel c) over the period 2023–2025. Narratives are averaged at the country level and then aggregated. *Demand-Side Narratives* include Government Spending, Expansionary Monetary Policy and Pent-Up Demand; *Supply-Side Narratives* include Supply-Chain Disruptions, Labor Shortages, Energy Crisis, Tariffs and Trade Conflicts, and Increased Profit Margins of Firms. Worldwide, the weight on supply-side narratives rises from around 40% in 2023 to over 50% in 2025, and demand-side narratives keep a stable share of about 25%. Among U.S. experts, demand-side narratives fall from nearly 50% in 2023 to around 35% in 2025 as tariffs gain weight. European experts attribute inflation to supply-side forces throughout, from around 50% in 2023 to nearly 60% in 2025.

Figure B.3 Participation in the EES Across Countries



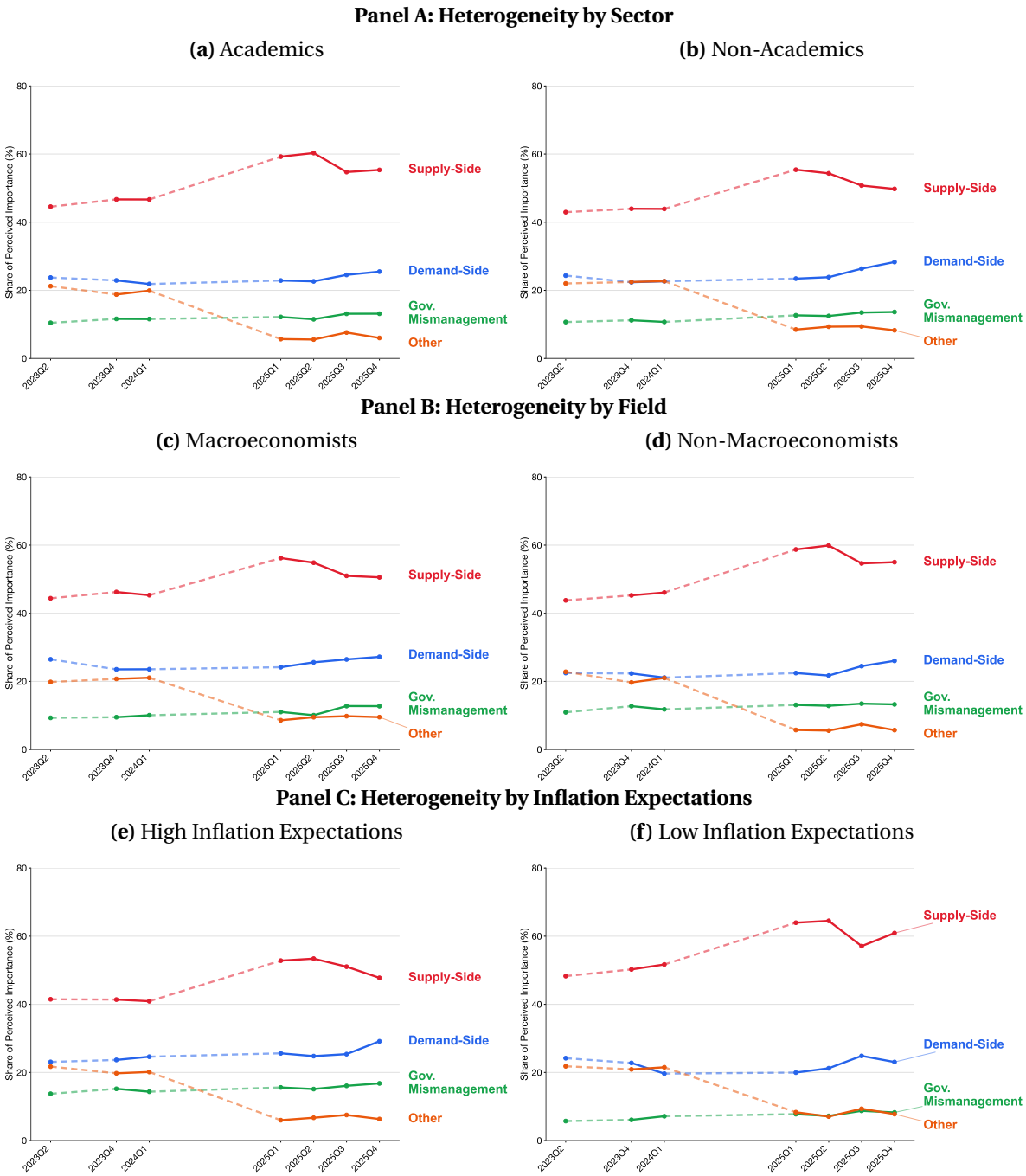
Notes: The figure plots the average number of participants per country in the Economic Experts Survey over the period Q1 2022 to Q2 2025.

Figure B.4 Dominant Inflation Narratives in 2025



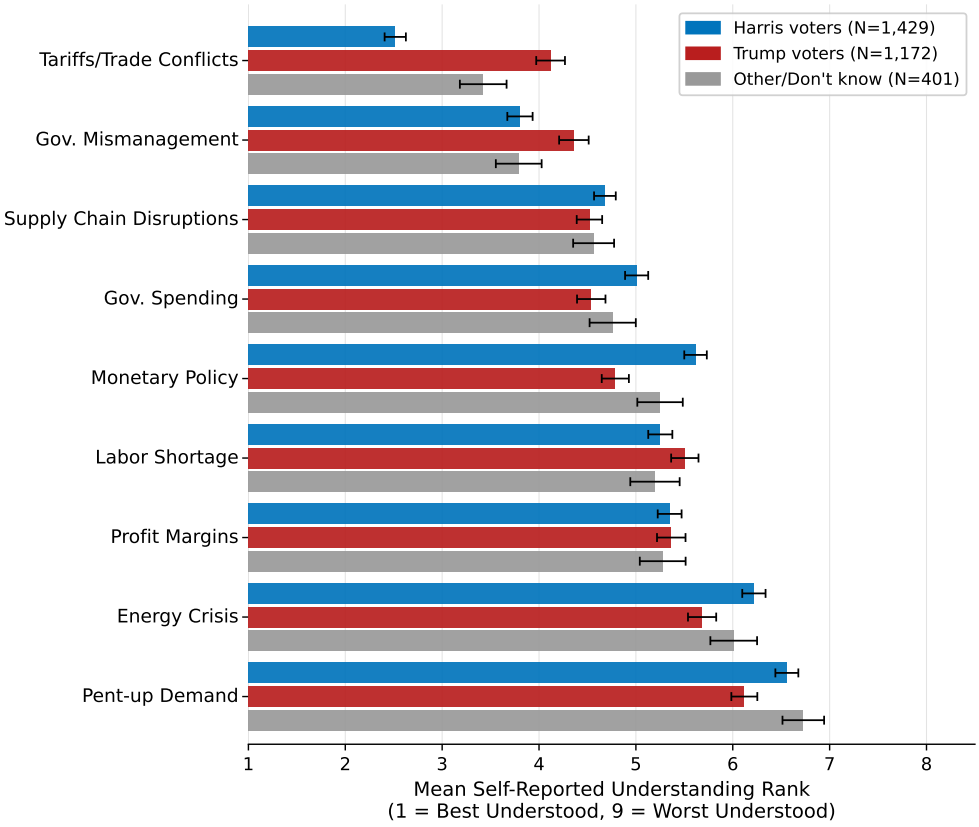
Notes: The figure plots the most prevalent types of narratives among economic experts, elicited in the Q4 2025 wave of the Economic Experts Survey. *Demand-Side Narratives* include Government Spending, Expansionary Monetary Policy and Pent-Up Demand, *Supply-Side Narratives* include Supply-Chain Disruptions, Labor Shortages, Energy Crisis, Tariffs and Trade Conflicts, and Increased Profit Margins of Firms.

Figure B.5 Heterogeneity in Inflation Narratives of Experts



Notes: The figures plot the perceived contribution of different inflation narratives of economic experts over the period 2023–2025 across several heterogeneities of economic experts. The inflation narratives sum up to 100%. The data includes the survey waves Q2 2023, Q4 2023, Q1 2024 and Q1 2025–Q4 2025 of the Economic Experts Survey. For Panel C, experts are classified according to whether their inflation expectations are above (High Inflation Expectations) or below (Low Inflation Expectations) the median in their country.

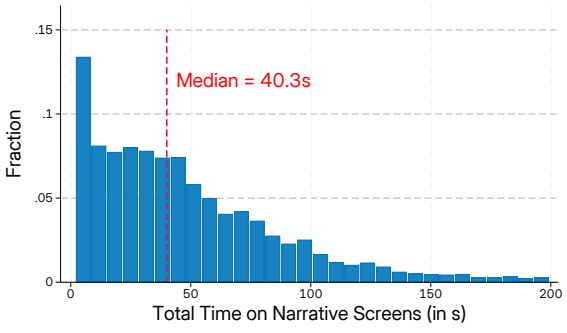
Figure B.6 Prior Understanding of Inflation Narratives, by 2024 Vote



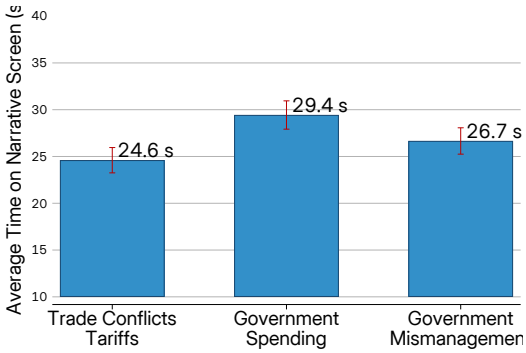
Notes: The figure plots the mean pre-treatment understanding rank for each narrative separately for respondents who report having voted for Kamala Harris ($N = 1{,}429$), Donald Trump ($N = 1{,}172$), and other or undisclosed ($N = 401$) in the 2024 presidential election. Respondents rank the narratives from best understood (rank 1) to least understood (rank 9); a lower value denotes better understanding. Narratives are ordered by the pooled mean understanding rank. Horizontal lines denote 95% confidence intervals based on robust standard errors.

Figure B.7 Time Spent on Narrative Screens

(a) Total Time Spent on Narratives



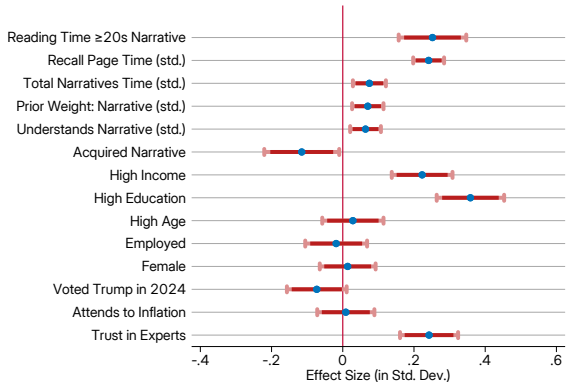
(b) Time on Different Narrative Screens



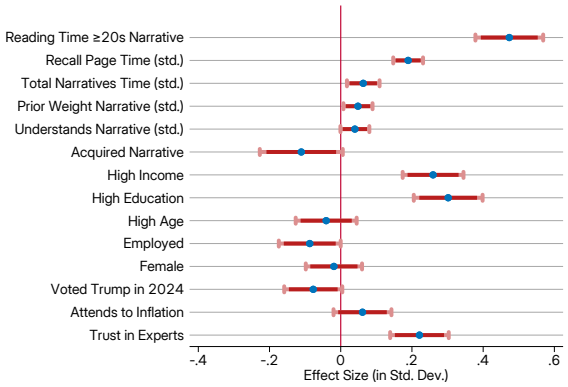
Notes: The left figure plots the total time participants spend on both narrative information screens. The right figure plots the average time of respondents on different narrative treatments. Confidence intervals are obtained using robust standard errors and included at the 95% level.

Figure B.8 Determinants of Narrative Recall

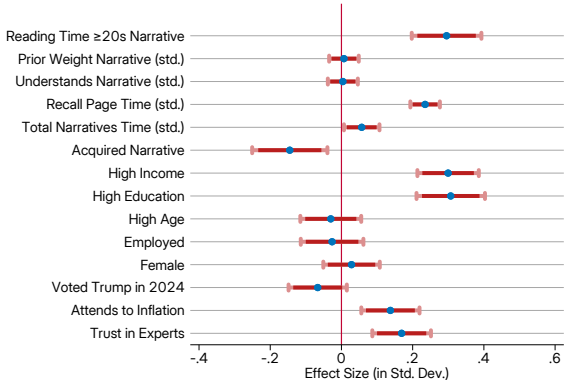
(a) Tariffs and Trade Conflicts



(b) Government Spending

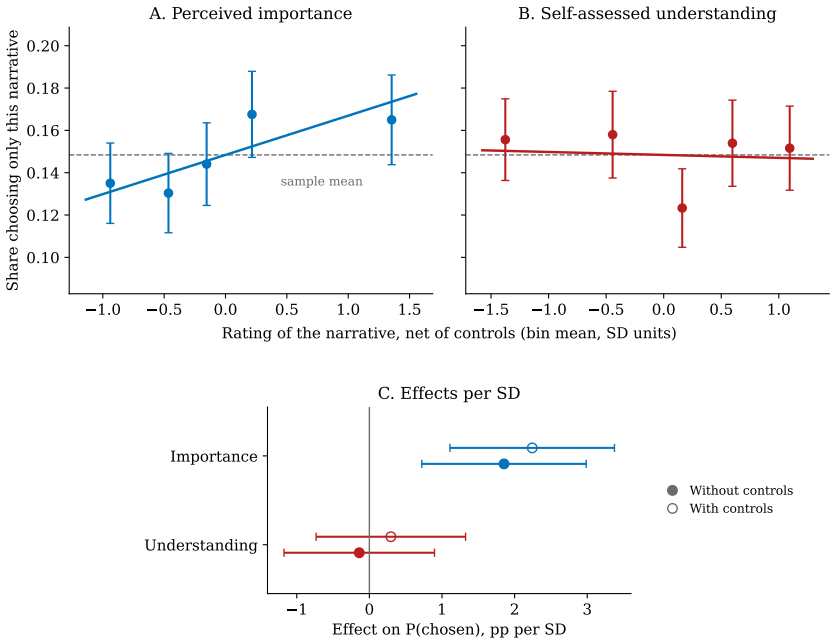


(c) Government Mismanagement



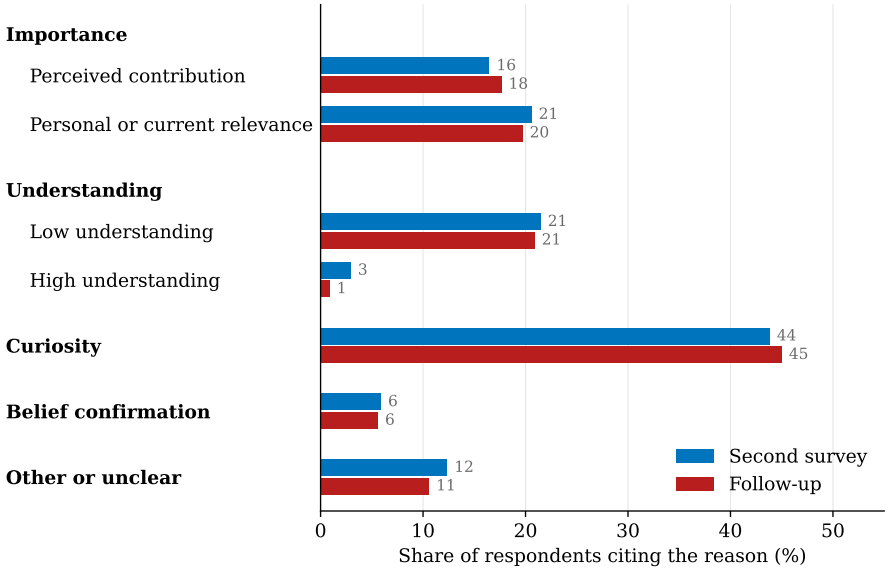
Notes: The figures plot the coefficients of a linear regression relating the quality of the recall of individual i regarding a narrative to a range of determinants, as well as socio-economic and demographic characteristics $\mathbf{X}_i$ via $Recall_i = \mathbf{X}_i\boldsymbol{\beta} + \epsilon_i$. Recall is scored 0–100 using a pre-specified LLM-assisted rubric for coverage, accuracy, hallucination, and coherence (see Section C in the Appendix). The outcome is standardized. The figures report parameter estimates from multivariate estimates, including all characteristics within one model. Confidence intervals are obtained using robust standard errors and are indicated at 95% (light color) and 90% (darker color) confidence levels. *Acquired Narrative* indicates whether the respondents decided to acquire additional information about the narrative, *Reading Time* measures the screen time on the narrative information treatment, *Prior Weight* is the standardized quantitative prior regarding the narrative, *Understands Narrative* measures the standardized self-reported understanding of the narrative. *Recall Page Time* and *Total Narratives Time* measure how much time the respondent spent on the recall question screen and in total on both narrative information treatment screens.

Figure B.9 Acquisition by Perceived Contribution and Understanding



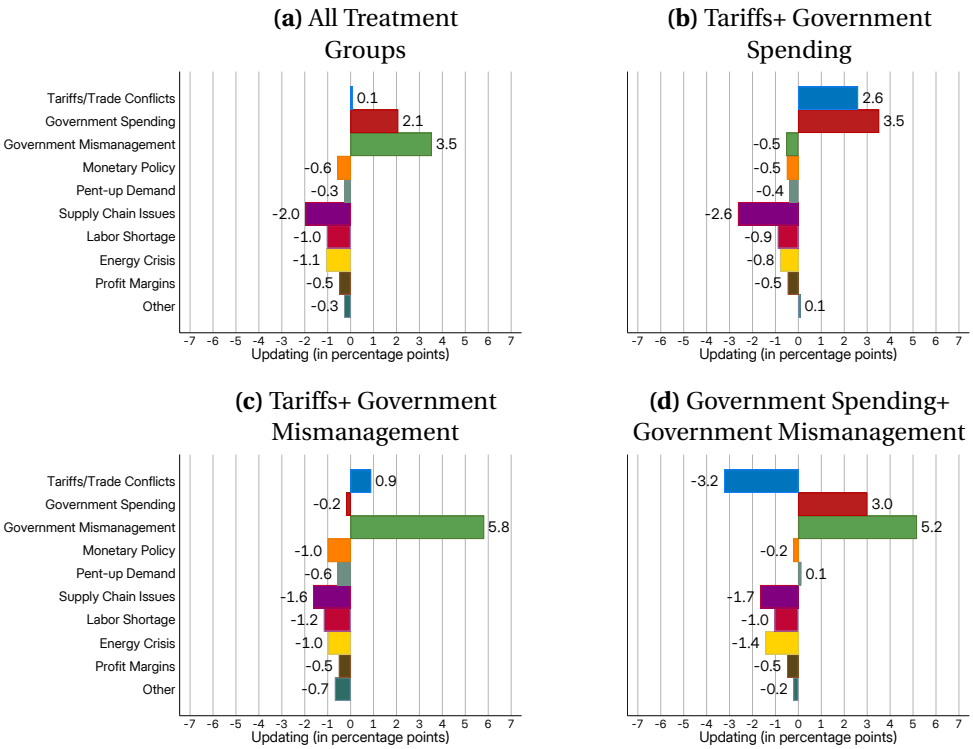
Notes: First survey, exclusive outcome. Binned scatter residualized on narrative fixed effects and controls; the line is the linear-probability fit. Panel C reports effects per standard deviation with and without controls, with 95% confidence intervals.

Figure B.10 Stated Reasons for the First Choice in the Second Survey and the Follow-Up



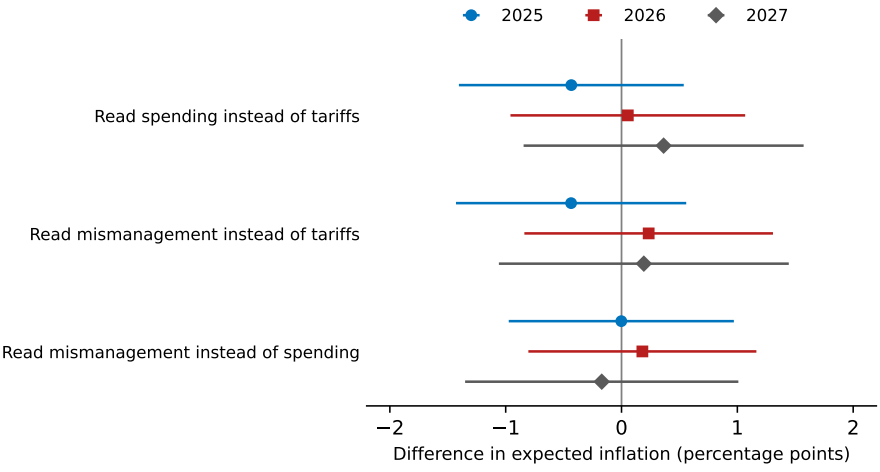
Notes: The figure shows the share of respondents whose open-ended reason for their first narrative choice falls into each category, in the second survey and in the follow-up. The sample consists of the 340 respondents who completed both waves. Claude Haiku 4.5 codes the answers into non-exclusive categories with the same codebook in both waves, so shares do not sum to 100 percent. Categories are arranged under group headings: *Importance* (the respondent states that the chosen driver contributes to inflation, or links it to their own life or to current events) and *Understanding* (low or high prior understanding of the chosen narrative). *Belief confirmation* covers wanting to confirm or challenge a prior view. The second-survey codes come from a coding of all second-survey answers; the follow-up codes come from a separate coding in which follow-up and second-survey answers were shuffled together, so the coder did not know the wave. No category changes significantly between waves at the 5 percent level (exact McNemar tests, smallest $p = 0.07$).

Figure B.11 Narrative Updating in Different Treatment Groups



Notes: The figures plot households' updating of different narratives for different subsamples. Updating is defined as the difference between the weight assigned to the narrative in the posterior minus the weight assigned in the prior. Updates sum to zero by construction across narratives per respondent.

Figure B.12 Differences in Inflation Expectations Between Narrative Pairs



Notes: Each row shows the difference in covariate-adjusted calendar-year inflation expectations (percentage points) between two randomly assigned pairs of narratives, for 2025, 2026, and 2027. Every respondent reads two of the three narratives, so each comparison swaps one narrative for another and holds the other fixed: "Read spending instead of tariffs" compares respondents who read spending and mismanagement with those who read tariffs and mismanagement, and the other rows follow in the same way. Regressions control for the pre-treatment inflation expectation, total reading time, demographics, 2024 vote, trust in experts, and attention to inflation; expectations are trimmed at the 1st and 99th percentiles. Bars show 95% confidence intervals based on robust standard errors. $N = 2{,}923$ (2025) and 2,913 (2026, 2027).

C Coding of Open-Ended Questions

C.1 Inflation Narratives

For the inflation narratives of economic experts, as well as for the open-ended posterior narrative of households, I apply a structured classification process to generate a consistent coding scheme.

Set-Up and Prompt Before the classification, empty responses are filtered out. All parts of the classification that involve an LLM use gpt-4o-mini.

First I set up a list of synonyms for the respective categories. If the open-ended responses contain one of those words, the respective code is assigned heuristically without using the LLM.

- **Expansionary fiscal policy**: government spending, public spending, public expenditure, stimulus, stimulus package, fiscal stimulus, tax cuts, deficit spending, fiscal expansion
- **Expansionary monetary policy**: low interest rates, rate cuts, cut rates, loose monetary policy, quantitative easing, qe, money printing, expansionary monetary, lower borrowing costs, interest rate
- **Pent-up demand**: pent-up demand, pent up demand, delayed consumption, accumulated demand, catch-up spending, backlog of demand
- **Supply chain issues**: supply chain, logistics, shipping delays, port congestion, component shortages, bottlenecks, import delays
- **Labor shortage**: labor shortage, worker shortage, staff shortage, hiring difficulties, lack of workers, wage pressure from shortage
- **Government mismanagement**: government mismanagement, policy failure, corruption, misgovernance, poor governance, incompetence of authorities, trump, uncertain politics, political uncertainty, policy uncertainty
- **COVID-19 pandemic**: covid, covid-19, coronavirus, pandemic, lockdowns
- **War in Ukraine**: war in ukraine, ukraine war, russia-ukraine, russian invasion, sanctions on russia, ukraine conflict
- **Energy Crisis**: energy prices, high energy prices, electricity prices, power prices, fuel prices, gas prices, oil prices, natural gas prices, diesel, energy crisis, energy shock
- **Increased profit margins of firms**: profit margins, price gouging, greedflation, corporate profits, markups, monopolization, market power, cartel
- **Tariffs/Trade Conflicts**: tariff, tariffs, import duties, trade war, trade conflict, trade tensions, trade restrictions, protectionism, customs duty, us-china trade war, import tax
- **Commodity prices**: commodity prices, raw materials, input prices, food prices, grain prices, wheat, corn, soy, metals, copper, steel, agricultural prices, commodities
- **No Narrative/No Response**: n/a, na, none, nothing, no comment, unsure, don't know, dont know, idk, dk

To further code responses which are not directly captured by the list of keywords, I also include the following definitions in the prompt, based on which the LLM is classifying the responses:

Definitions (mark ALL that apply; multiple 1s allowed):

- **Expansionary fiscal policy**: Government increases net spending (public expenditure, stimulus, deficit spending, tax cuts raising demand).
- **Expansionary monetary policy**: Central bank policy; treat any *interest rate* references (hikes/cuts/levels) as monetary policy.
- **Pent-up demand**: Demand delayed/accumulated causing a surge in purchases.
- **Supply chain issues**: Logistics/parts/bottlenecks/transport delays that restrict supply or raise costs.
- **Labor shortage**: Insufficient workers raising wages or limiting output.
- **Government mismanagement**: Poor governance, policy errors, corruption; also map "Trump" or "political uncertainty" mentions here.
- **COVID-19 pandemic**: Effects directly tied to COVID-19 or its restrictions.
- **War in Ukraine**: Effects directly due to the Russia–Ukraine war or related sanctions.
- **Energy Crisis**: Elevated *energy* input costs or energy supply shocks (oil, gas, electricity, fuel).
- **Increased profit margins of firms**: Firms' widening markups, price gouging, monopoly power, greedflation.
- **Tariffs/Trade Conflicts**: Trade barriers, duties, or conflicts raising costs or disrupting flows.
- **Commodity prices**: Elevated *non-energy* commodity costs (food, grains, metals, raw materials).
- **No Narrative/No Response**: Blank, "don't know," or not identifiable as any plausible inflation cause.

C.2 Recall of Narratives

For the classification of the quality of respondents' recall of the presented narratives, I apply a consistent coding scheme, implemented by an LLM.

Set-Up and Prompt Before the classification, empty responses are filtered out. All parts of the classification which involve an LLM, use gpt-4o-mini as a model. I also feed the three potential narrative texts in their exact wording into the model to code the quality of the recall of those narratives.

The main prompt sent to the model is the following:

You grade recall quality for TWO assigned narratives drawn from THREE provided ground-truth narratives. Do NOT re-match; grade strictly against the ASSIGNED narrative names.

Output JSON with ONLY the necessary fields: per_recall (2 items) with fields:

- recall_index (1 or 2),

- narrative_name (string),
- coverage_score (0–4),
- accuracy_score (0–4),
- hallucination_score (0–4),
- coherence_score (0–4),
- overall_score (0–100),
- plausibility_score (0–1), plausibility_flag (boolean).

summary with fields:

- mean_overall_score (0–100),
- final_label (“poor”|“fair”|“good”|“excellent”),
- confidence (0–1).

Rubric:

- Overall = 35% Coverage + 35% Accuracy + 15% Hallucination + 15% Coherence (round to 1 decimal).
- Hallucination: 0 = many invented claims, 4 = none

D Experimental Wording

D.1 Expert Survey

Figure D.1 Inflation Narratives of Experts

In your opinion, how **important** are the following **potential drivers of current inflation** in the United States of America?

(The sum of the drivers of inflation should add to 100%.)

Labor Shortage	0 %
Supply Chain Disruptions	0 %
Trade Conflicts/Tariffs	0 %
Government Mismanagement	0 %
Increased Profit Margins of Firms	0 %
Pent-Up Demand	0 %
Expansionary Monetary Policy	0 %
Expansionary Fiscal Policy	0 %
Energy Crisis	0 %
Other:	0 %
Total	0 %

D.2 Household Survey

The questions of the households survey are reported here. Bold text, underlining, tables, etc., appear as in the original questions.

Figure D.2 Introduction

Introduction. Welcome, and thank you for participating in this academic research survey conducted by the University of Munich and the ifo Institute, Germany. The survey asks about your background, habits, and opinions on societal trends in the United States.

Payment. You will receive a fixed payment for completing the survey, provided you finish and meet our quality checks (to detect rushed or inconsistent answers). Please read carefully and answer honestly to ensure valid results.

Confidentiality. Your responses will be used only for research. Data are anonymized immediately and stored in open-access repositories; no identifying information will ever be linked to your answers.

Time. The survey takes **approximately 8–10 minutes** to complete.

Voluntary participation. Participation is voluntary and limited to those aged 18 or older. You may withdraw at any time. For questions about the survey or your rights, contact heil@ifo.de.

Figure D.3 Warning

Data Quality

This study is intended only for **US Participants**.

To ensure data quality, we use technical tools to detect fraudulent behavior, including:

- False information regarding country of residence or nationality on Bilendi profiles
- Use of VPNs, or proxies to mask your location
- Use of automated bots or non-human response patterns
- Rushing through the study without reading instructions
- Remaining extensively long on individual screens indicating inattention

Participants who are found to fail these conditions will be reported to Bilendi and may not be paid.

To ensure high quality, we also ask you to please **refrain from using any external assistance when answering questions, such as Google, ChatGPT, or other LLM and AI tools.**

Figure D.4 Demographics I



Figure D.5 Demographics II

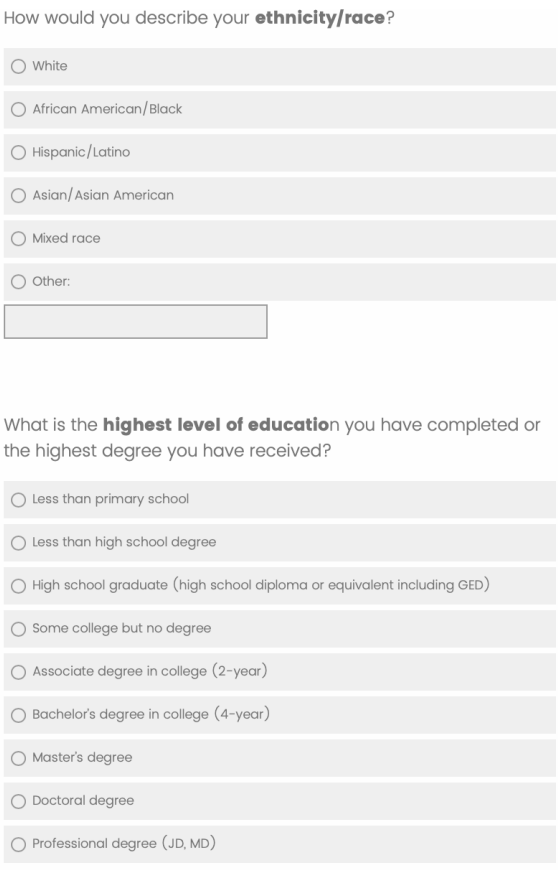


Figure D.6 Demographics III



Figure D.7 Demographics IV

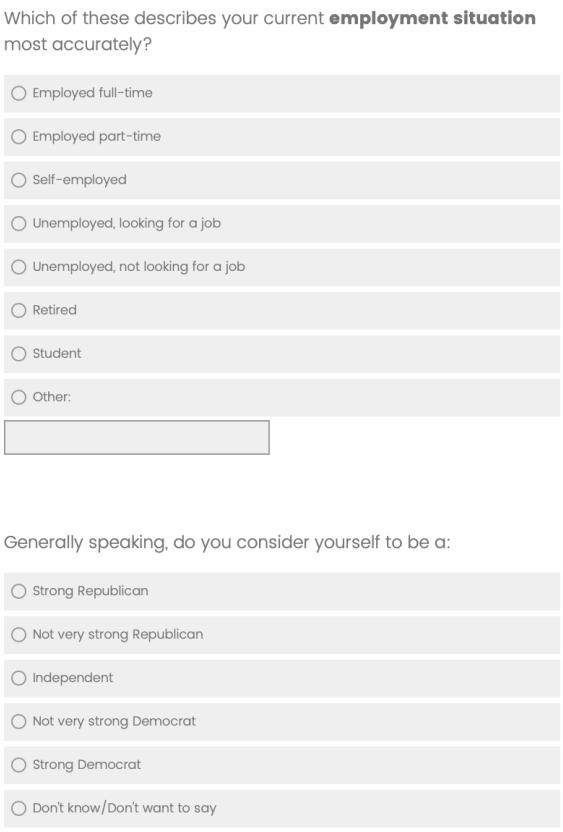


Figure D.8 Demographics V

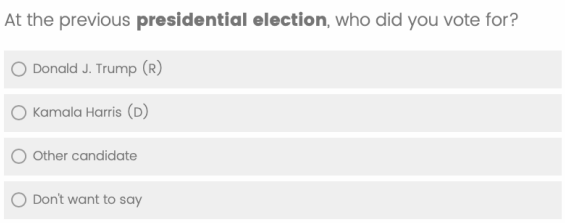


Figure D.9 Attention Check

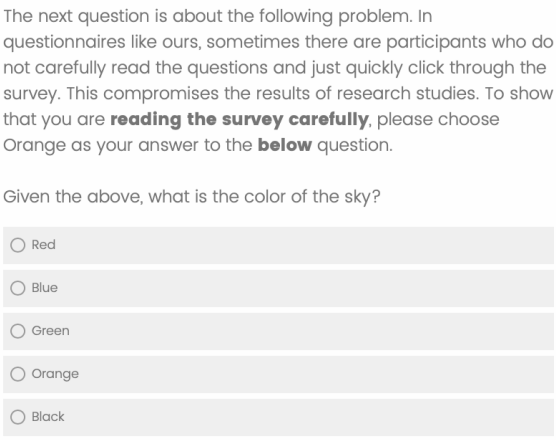


Figure D.10 Reported Attention I

On this screen you will be asked about your **searching behavior** regarding **economic variables**.

In the last year, did you **actively search for information** about any of the following **economic variables** in the United States?

Please select all for which you actively searched for information.

- ☐ Federal funds rate
- ☐ Dollar exchange rate
- ☐ Inflation
- ☐ Stock market
- ☐ Home prices
- ☐ Treasury bill rates
- ☐ Industrial Production
- ☐ Gross domestic product (GDP)
- ☐ Mortgage rates
- ☐ Unemployment rate

Figure D.11 Reported Attention II

In your opinion, which sources of information are **trustworthy** regarding news on current economic trends in the US?

Please note that you can choose multiple answer options.

- ☐ Newspapers
- ☐ Politicians
- ☐ TV
- ☐ Experts
- ☐ Social Media
- ☐ Other:
- ☐ None

When was the last time, that you **actively searched for inflation**?

- ○ Within the last week
- ○ More than one week ago
- ○ More than one month ago
- ○ Never

Figure D.12 Reported Attention III

When was the last time, that you **actively searched for inflation**?

- ○ Within the last week
- ○ More than one week ago
- ○ More than one month ago
- ○ Never

Have you heard any **news about monetary policy** or the Federal Reserve in the last week?

- ○ Yes
- ○ No

Have you heard any **news about inflation** in the last week?

- ○ Yes
- ○ No

Figure D.13 Inflation Definition

Inflation

Some of the following questions are about your views on and beliefs about the inflation rate in the United States.
Here you are provided with a **definition of the term inflation**. Please read it carefully.

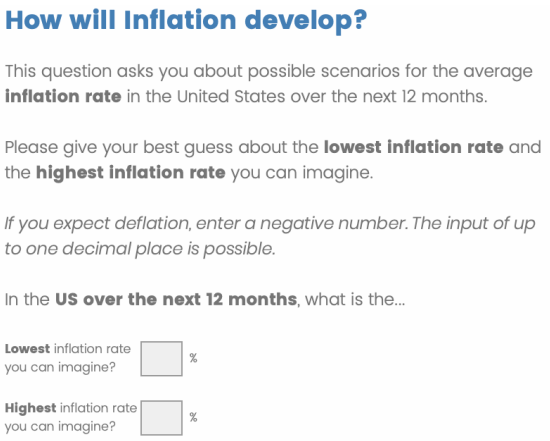
Inflation measures how much prices in the economy rise from year to year. It is defined as the **yearly increase in the general price level of goods and services** (Consumer Price Index).

If the inflation rate is **negative**, this is called **deflation**, meaning that prices decrease from one year to the next.

For example, the most recent official data show that the **annual inflation rate in the United States over the past 12 months was 2.7%**. A typical bundle of goods and services that did cost $1,000 a year ago, costs $1,027 now.



Figure D.14 Inflation Prior I



How will Inflation develop?

This question asks you about possible scenarios for the average **inflation rate** in the United States over the next 12 months.

Please give your best guess about the **lowest inflation rate** and the **highest inflation rate** you can imagine.

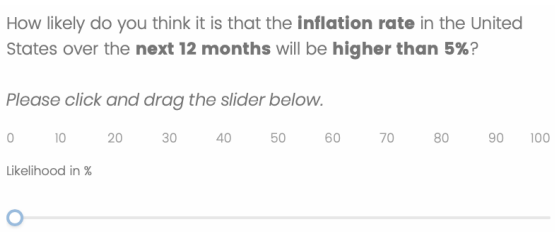
If you expect deflation, enter a negative number. The input of up to one decimal place is possible.

In the **US over the next 12 months**, what is the...

Lowest inflation rate you can imagine? [ ] %

Highest inflation rate you can imagine? [ ] %

Figure D.15 Inflation Prior II



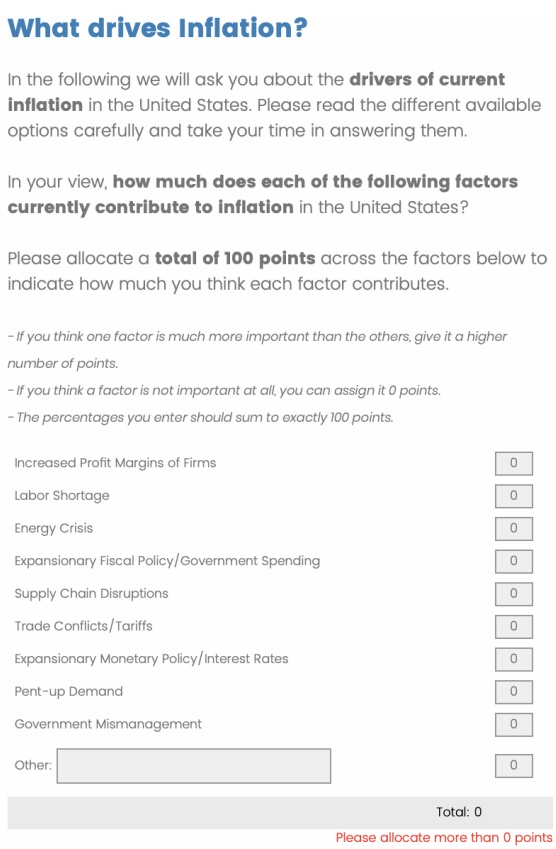
How likely do you think it is that the **inflation rate** in the United States over the **next 12 months** will be **higher than 5%**?

Please click and drag the slider below.

0 10 20 30 40 50 60 70 80 90 100

Likelihood in %

Figure D.16 Inflation Narratives Prior I



What drives Inflation?

In the following we will ask you about the **drivers of current inflation** in the United States. Please read the different available options carefully and take your time in answering them.

In your view, **how much does each of the following factors currently contribute to inflation** in the United States?

Please allocate a **total of 100 points** across the factors below to indicate how much you think each factor contributes.

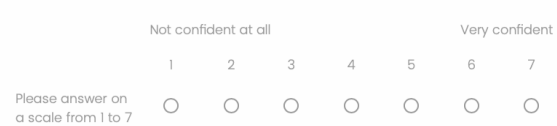
- If you think one factor is much more important than the others, give it a higher number of points.
- If you think a factor is not important at all, you can assign it 0 points.
- The percentages you enter should sum to exactly 100 points.

Increased Profit Margins of Firms	0
Labor Shortage	0
Energy Crisis	0
Expansionary Fiscal Policy/Government Spending	0
Supply Chain Disruptions	0
Trade Conflicts/Tariffs	0
Expansionary Monetary Policy/Interest Rates	0
Pent-up Demand	0
Government Mismanagement	0
Other: [ ]	0

Total: 0

Please allocate more than 0 points

Figure D.17 Inflation Narratives Prior II



How **confident** are you in your response?

Please answer on a scale from 1= Not confident at all to 7=Very confident.

	Not confident at all						Very confident
	1	2	3	4	5	6	7
Please answer on a scale from 1 to 7	○	○	○	○	○	○	○

Figure D.18 Inflation Narratives Prior – Understanding

Please **rank the following drivers of inflation** based on how well you **believe you understand them and their effects on inflation**.

Place the factor you understand best at the top (Rank 1) and the factor you understand the least at the bottom (Rank 9).

Please rank all factors, even if you feel equally confident about some factors.

The list appears in a random order. Please drag the items to reflect **your own understanding — do not rely on the default order.**

- Government Mismanagement
- Increased Profit Margins of Firms
- Pent-up Demand
- Expansionary Monetary Policy/Interest Rates
- Expansionary Fiscal Policy/Government Spending
- Labor Shortage
- Supply Chain Disruptions
- Energy Crisis
- Trade Conflicts/Tariffs

Figure D.19 Narratives Intro

Narratives for Inflation

In a survey among economic experts active in the United States, participants were asked about their thoughts on the drivers of current inflation.

In the following screens, you will be presented with **two different narratives**, which explain the current development of inflation in the United States.
These narratives are among the most important current drivers of inflation, according to the economic experts.

Figure D.20 Narratives – Tariffs Treatment

What causes current Inflation?

Participants in a recent survey of leading economic experts stated that **Trade Conflicts and Tariffs** are major drivers of current Inflation in the United States.

When **tariffs are imposed on imported goods**—such as industrial inputs, consumer electronics, or food products—**import costs rise** and are often passed through to consumers as **higher retail prices**. This direct price increase contributes to overall inflation.

Additionally, trade tensions and retaliatory measures from other countries increase **economic uncertainty** and discourage investment. This reduces efficiency and productivity, **raising production costs** and further intensifying upward pressure on prices.

Together, these effects elevate prices both by **raising import costs** and by creating **broader inefficiencies** in the economy.

Figure D.21 Narratives – Government Spending Treatment

What causes current Inflation?

Participants in a recent survey of leading economic experts stated that **Expansionary Fiscal Policy** is a major driver of current Inflation in the United States.

When the **government increases its spending**—through stimulus checks, infrastructure projects, or expanded social programs—it injects additional money into the economy, boosting household and business purchasing power. This **increase in demand for goods and services** can exceed the economy's short-term productive capacity, putting **upward pressure on prices**.

If such spending is not offset by higher taxes or reductions elsewhere, it can result in persistent deficits that further stimulate demand.

In these circumstances, strong fiscal stimulus substantially **increases aggregate demand**; when supply is constrained, this contributes to higher inflation.

Figure D.22 Narratives – Government Mismanagement Treatment



What causes current Inflation?

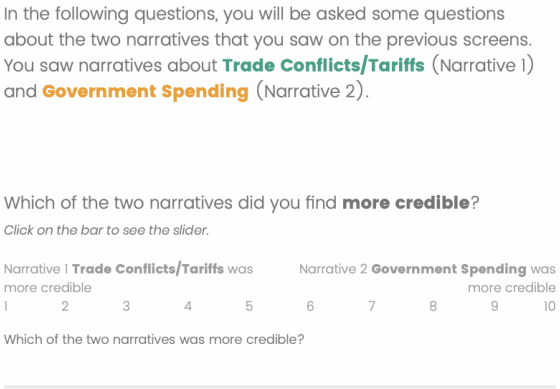
Participants in a recent survey among prestigious economic experts stated that **Government Mismanagement** is a major driver of current Inflation in the United States.

When the government **poorly manages economic policy**—for example, by delaying necessary reforms, failing to control spending, or implementing inconsistent regulations—it can create **uncertainty** and **reduce economic efficiency**. These actions can **raise production costs** and limit the economy's ability to respond to rising demand.

Mismanagement can also **weaken public confidence** in economic institutions. This may lead households and businesses to expect higher future prices, causing them to spend more now, which adds to inflationary pressure.

Together, these effects **increase costs** and amplify **demand pressures**; when supply cannot adjust effectively, the result is higher inflation.

Figure D.23 Narratives – Rating



In the following questions, you will be asked some questions about the two narratives that you saw on the previous screens. You saw narratives about **Trade Conflicts/Tariffs** (Narrative 1) and **Government Spending** (Narrative 2).

Which of the two narratives did you find **more credible**?

Click on the bar to see the slider.

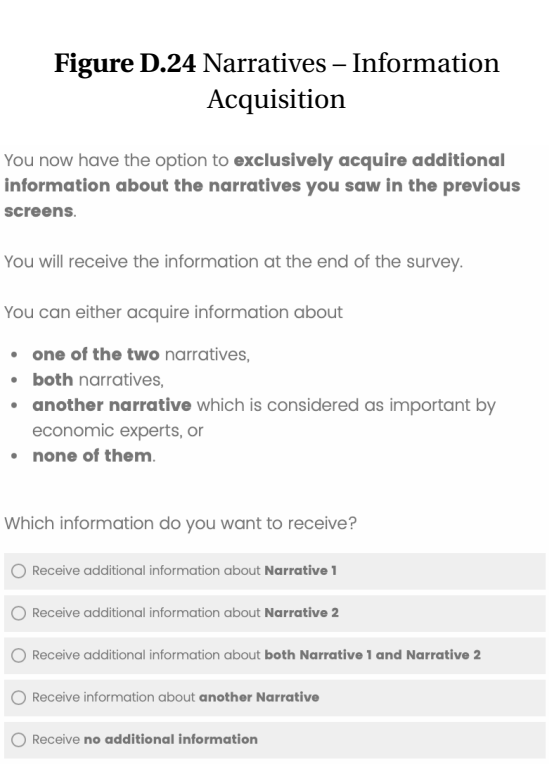
Narrative 1 **Trade Conflicts/Tariffs** was more credible

Narrative 2 **Government Spending** was more credible

1 2 3 4 5 6 7 8 9 10

Which of the two narratives was more credible?

Figure D.24 Narratives – Information Acquisition



You now have the option to **exclusively acquire additional information about the narratives you saw in the previous screens**.

You will receive the information at the end of the survey.

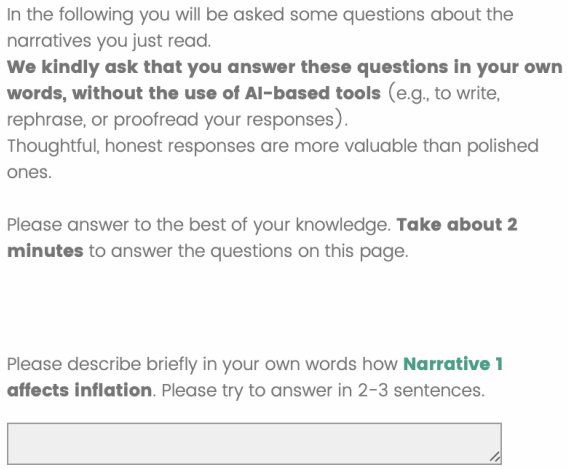
You can either acquire information about

- **one of the two** narratives,
- **both** narratives,
- **another narrative** which is considered as important by economic experts, or
- **none of them**.

Which information do you want to receive?

- ○ Receive additional information about **Narrative 1**
- ○ Receive additional information about **Narrative 2**
- ○ Receive additional information about **both Narrative 1 and Narrative 2**
- ○ Receive information about **another Narrative**
- ○ Receive **no additional information**

Figure D.25 Narratives – Recall I



In the following you will be asked some questions about the narratives you just read.
We kindly ask that you answer these questions in your own words, without the use of AI-based tools (e.g., to write, rephrase, or proofread your responses).
Thoughtful, honest responses are more valuable than polished ones.

Please answer to the best of your knowledge. **Take about 2 minutes** to answer the questions on this page.

Please describe briefly in your own words how **Narrative 1 affects inflation**. Please try to answer in 2-3 sentences.

Figure D.26 Narratives – Recall II

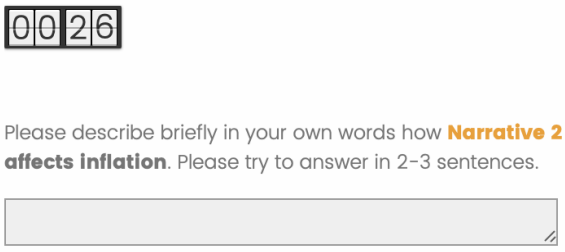


Figure D.27 Posterior Inflation Narratives

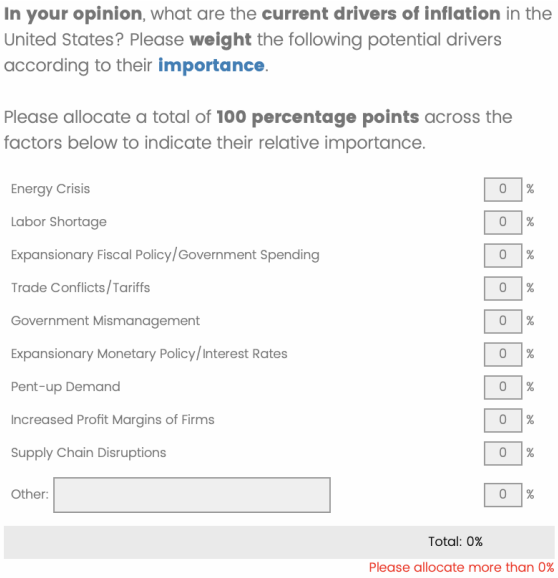


Figure D.28 Posterior Inflation Expectations and Open-Ended Narrative

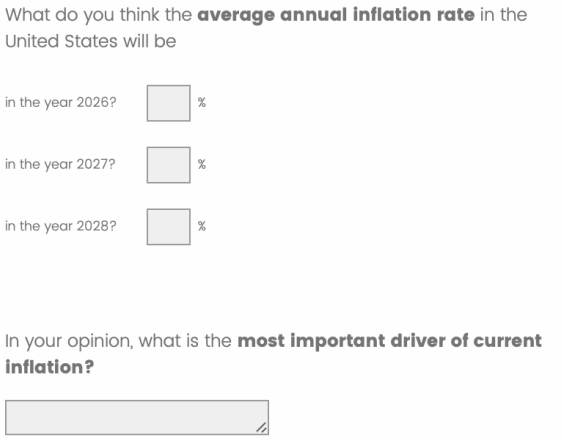
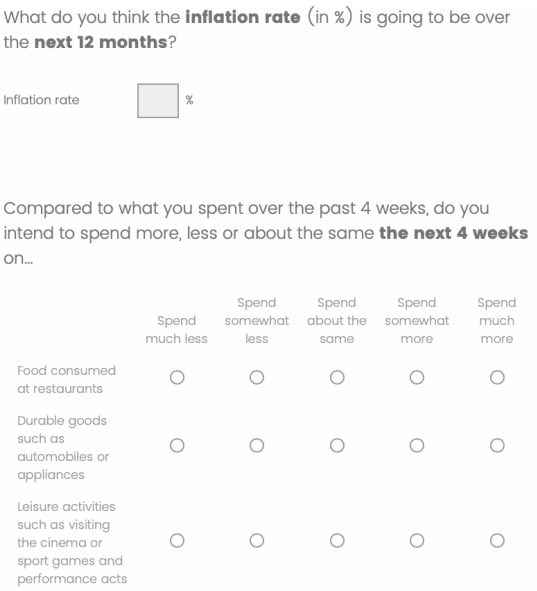


Figure D.29 Tariff Forecast Treatment



Figure D.30 Posterior Inflation Expectations and Spending



E Theory Appendix

Setup Recall the framework from Section 3. $(\bar{\omega}_n)_{n=1}^{N-1}$ is the vector of true contributions of the named narratives: common across households, and unobserved by any of them; the residual's contribution follows from (3). Household i has subjective prior $\bar{\omega}_n \sim \mathcal{N}(\bar{\omega}_{i,n}^0, \sigma_{i,n}^2)$ over each named narrative's true contribution, and it observes signal $s_{i,n} = \bar{\omega}_n + \varepsilon_{i,n}$ with $\varepsilon_{i,n} \sim \mathcal{N}(0, \bar{\sigma}^2/a_{i,n})$, where $a_{i,n}$ is attention allocated to narrative n at unit price $\psi > 0$. Throughout I assume household i's subjective beliefs and signal noises are mutually independent across the $N-1$ named narratives, so that under joint normality the posterior precision matrix is diagonal and $\mathrm{Var}(\bar{\omega}_n \mid s_{i,1}, \ldots, s_{i,N})$ depends on $a_{i,n}$ alone — the property that lets the allocation problem separate narrative by narrative, and that lets a supplementary signal about narrative n affect only that narrative's term in the loss. Because the residual absorbs the adding-up condition, this independence is consistent with contributions that sum to one: the $N-1$ named contributions are free, and the belief about the residual is implied by (3). The residual is never read or chosen and does not enter the loss, so a signal about a named narrative that also moves the implied belief about the residual leaves the other terms of the objective unaffected.

E.1 Proposition 1 (Attention to Uncertain Narratives)

By standard Bayesian updating with normal priors and signals, the posterior variance of household i's belief about $\bar{\omega}_n$ given attention $a_{i,n}$ is:

$$\mathrm{Var}(\bar{\omega}_n \mid s_{i,n}) = \left(\frac{1}{\sigma_{i,n}^2} + \frac{a_{i,n}}{\bar{\sigma}^2} \right)^{-1}. \tag{A.1}$$

Writing $\tau_{i,n}^0 \equiv 1/\sigma_{i,n}^2$ for prior precision, problem (6) becomes

$$\min_{\{a_{i,n}\}_{n \in \mathcal{T}}} \sum_{n \in \mathcal{T}} \left[(\bar{\omega}_{i,n}^0)^2 \left(\tau_{i,n}^0 + \frac{a_{i,n}}{\bar{\sigma}^2} \right)^{-1} + \psi\, a_{i,n} \right], \qquad a_{i,n} \geq 0. \tag{A.2}$$

The objective is strictly convex and *additively separable* across narratives, with no constraint linking them: each $a_{i,n}$ solves its own one-dimensional problem. The first-order condition at an interior solution is

$$\frac{(\bar{\omega}_{i,n}^0)^2}{\bar{\sigma}^2} \cdot \left(\tau_{i,n}^0 + \frac{a_{i,n}}{\bar{\sigma}^2} \right)^{-2} = \psi. \tag{A.3}$$

Define $\tau_{i,n}^1 \equiv \tau_{i,n}^0 + a_{i,n}/\bar{\sigma}^2$ (posterior precision). Then (A.3) gives

$$\tau_{i,n}^1 \;=\; k\, \bar{\omega}_{i,n}^0, \qquad k \equiv (\psi \bar{\sigma}^2)^{-1/2}, \tag{A.4}$$

where $\psi\bar{\sigma}^2$ is the price of one unit of precision: a unit of attention costs ψ and adds $1/\bar{\sigma}^2$ of precision. Rescaling the units of attention changes $\bar{\sigma}^2$ and ψ but not their product, so k, unlike $\bar{\sigma}$, does not depend on how attention is measured. Optimal attention follows in closed form:

$$a^*_{i,n} = \bar{\sigma}^2\tau^1_{i,n} - \bar{\sigma}^2\tau^0_{i,n} = \frac{\bar{\sigma}\,\bar{\omega}^0_{i,n}}{\sqrt{\psi}} - \frac{\bar{\sigma}^2}{\sigma^2_{i,n}}. \tag{A.5}$$

The interior solution $a^*_{i,n} > 0$ requires $\bar{\omega}^0_{i,n}(\psi\bar{\sigma}^2)^{-1/2} > \tau^0_{i,n}$: a narrative already understood precisely enough, or currently believed to make a small enough contribution, optimally receives no attention at all ($a^*_{i,n} = 0$).

Comparative static. The first term of (A.5) does not depend on $\sigma^2_{i,n}$. Differentiating and using $\partial\tau^0_{i,n}/\partial\sigma^2_{i,n} = -1/(\sigma^2_{i,n})^2$:

$$\frac{\partial a^*_{i,n}}{\partial\sigma^2_{i,n}} = \frac{\bar{\sigma}^2}{(\sigma^2_{i,n})^2} > 0 \tag{A.6}$$

for every narrative with $a^*_{i,n} > 0$. Holding perceived contribution fixed, the household allocates more attention to narratives it is more uncertain about, with no auxiliary condition on the number of narratives or the distribution of prior beliefs about their contributions. ■

Remark (pricing versus rationing attention). Because attention is priced rather than rationed, the N allocation problems decouple: raising $\sigma^2_{i,n}$ changes $a^*_{i,n}$ and leaves every other narrative's allocation untouched. Under the dual formulation with a hard capacity constraint $\sum_n a_{i,n} \le A$, the multiplier λ on that constraint plays the role of ψ in (A.3), and the same comparative static obtains — but attenuated, since a change in one narrative's prior precision then shifts λ and hence every allocation. Solving the constrained problem gives $\partial a^*_{i,n}/\partial\sigma^2_{i,n} = \big(\bar{\sigma}^2/(\sigma^2_{i,n})^2\big)\big(1 - \bar{\omega}^0_{i,n}/\sum_{m:\,a^*_{i,m}>0}\bar{\omega}^0_{i,m}\big)$, which is strictly positive whenever at least two narratives receive attention and weakly positive otherwise. The sign of Proposition 1 is therefore common to both formulations; the price form simply removes the scope condition.

Remark (water-filling). At an interior optimum, posterior precision $\tau^1_{i,n} = \bar{\omega}^0_{i,n}(\psi\bar{\sigma}^2)^{-1/2}$ depends only on the household's own belief about the narrative's contribution and the price of attention ψ, not on the prior precision $\tau^0_{i,n}$. Two narratives the household currently believes make an equal contribution therefore reach equal posterior precision *regardless of prior uncertainty*, and optimal reading compresses — for these narratives, eliminates — prior differences in uncertainty. This is the posterior-invariance (water-filling) property of linear-quadratic-Gaussian rational inattention (cf. Maćkowiak, Matějka and Wiederholt, 2023), and it is exact for *any* pair of narratives with equal $\bar{\omega}^0_{i,n}$, not only a special case.

Robustness to a mutual-information formulation. Proposition 1 does not depend on the linear-precision technology. Replace it with a constraint on total information flow, $\sum_{n\in\mathcal{T}} \frac{1}{2}\log\left(\tau^1_{i,n}/\tau^0_{i,n}\right) \leq C$, where $\tau^1_{i,n}$ denotes posterior precision and C is the household's information capacity. Minimizing the stakes-weighted posterior variance $\sum_n (\bar{\omega}^0_{i,n})^2(\tau^1_{i,n})^{-1}$ subject to this constraint gives the first-order condition $\tau^1_{i,n} = 2(\bar{\omega}^0_{i,n})^2/\lambda$, with λ the multiplier on the flow constraint: posterior precision again depends only on the household's belief about the narrative's contribution and the price of capacity, now quadratically rather than linearly. Two implications carry over. First, whenever at least two narratives receive attention, the capacity devoted to a narrative, $\frac{1}{2}\log(\tau^1_{i,n}/\tau^0_{i,n})$, is decreasing in prior precision, so less-understood narratives receive more attention (Proposition 1). Second, a narrative already understood precisely enough, $\tau^0_{i,n} \geq 2(\bar{\omega}^0_{i,n})^2/\lambda$, optimally receives zero attention. This alternative technology also changes the after-reading extension of Appendix E.3; it does not affect Proposition 2, which never refers to reading.

E.2 Proposition 2 (Acquisition Increases in Perceived Contribution)

$V^0_{i,n}$, defined in (7), is the difference in expected loss from (6)'s narrative-n term between having precision $\tau^0_{i,n}$ alone and having precision $\tau^0_{i,n} + \tau_s$:

$$V^0_{i,n} = (\bar{\omega}^0_{i,n})^2 \operatorname{Var}(\bar{\omega}_n \mid \tau^0_{i,n}) - (\bar{\omega}^0_{i,n})^2 \operatorname{Var}(\bar{\omega}_n \mid \tau^0_{i,n} + \tau_s) = (\bar{\omega}^0_{i,n})^2 \left[\frac{1}{\tau^0_{i,n}} - \frac{1}{\tau^0_{i,n} + \tau_s}\right].$$

The bracket is strictly positive and does not involve $\bar{\omega}^0_{i,n}$, so

$$\frac{\partial V^0_{i,n}}{\partial \bar{\omega}^0_{i,n}} = 2\,\bar{\omega}^0_{i,n}\left[\frac{1}{\tau^0_{i,n}} - \frac{1}{\tau^0_{i,n} + \tau_s}\right] > 0$$

for every $\bar{\omega}^0_{i,n} > 0$ and every $\tau^0_{i,n} > 0$: no restriction on prior precision, on Proposition 1, or on any reading having taken place. ■

Remark (why the weight is squared). The result uses only that $(\bar{\omega}^0_{i,n})^2$ multiplies the same bracket that Proposition 1's loss function uses — any strictly increasing, nonnegative function of $\bar{\omega}^0_{i,n}$ multiplying the same bracket would deliver the same sign. The square follows from the quadratic loss in (6) together with the assumption in Section 3.2 that a narrative's error, in points of inflation, scales with its weight.

Remark (beyond the Gaussian case). Proposition 2 does not depend on the Gaussian structure of this framework, as long as the narratives compared differ in perceived contribution but not in the shape of the belief around it. Multiplying a loss by a positive constant leaves the optimal action unchanged, so it multiplies the value of any signal by that same constant; $(\bar{\omega}^0_{i,n})^2$ is such a constant, and the value of a signal is never negative, since the household can

always ignore it (Blackwell, 1953). The argument also uses that narratives are independent (Setup above): a signal about narrative n's contribution affects the loss term for n alone.

E.3 Extension: Acquisition After Reading

A household may decide what to learn more about only after it has read, rather than at its prior beliefs as in Proposition 2. Two assumptions place the acquisition choice after reading. First, the household reads, observes its signals, and updates before it decides what to acquire. Second, while reading, it does not yet anticipate that the acquisition choice is coming, so it allocates attention exactly as in problem (6), unadjusted for a future opportunity to top up any one narrative. In the first survey, the acquisition choice follows the two reading screens (Section 4.1), which fits the first assumption; the second assumption, no anticipation, is not tested.

Under these assumptions, the household's precision on a narrative it read is $\tau^1_{i,n} = k\bar{\omega}^0_{i,n}$ (Appendix E.1), independent of $\tau^0_{i,n}$: reading has already settled part of the acquisition problem before it begins. Substituting $\tau^1_{i,n}$ for $\tau^0_{i,n}$ in $V^0_{i,n}$ gives the value of a supplementary signal at this later stage:

$$\Phi(\bar{\omega}^0_{i,n}) \equiv (\bar{\omega}^0_{i,n})^2\Big[\frac{1}{k\bar{\omega}^0_{i,n}} - \frac{1}{k\bar{\omega}^0_{i,n}+\tau_s}\Big] = \frac{\bar{\omega}^0_{i,n}\tau_s}{k\big(k\bar{\omega}^0_{i,n}+\tau_s\big)}. \tag{A.7}$$

The stakes weight is unchanged from (7). What changed is the bracket: it now starts from post-reading, not prior, variance. A larger perceived contribution raises the stakes weight but also lowers the variance left to remove, since the household already read more of what it judged more important.

Proposition 3 (Acquisition After Reading)**.** *Under sequential timing without anticipation, and for narratives that received reading attention,* Φ *is strictly increasing in* $\bar{\omega}^0_{i,n}$ *and does not depend on* $\tau^0_{i,n}$*.*

Proof: Differentiating,

$$\Phi'(\bar{\omega}^0_{i,n}) = \frac{\tau_s^2}{k\big(k\bar{\omega}^0_{i,n}+\tau_s\big)^2} > 0,$$

strictly positive for all $\bar{\omega}^0_{i,n} > 0$. Φ depends on $\tau^0_{i,n}$ only through whether the narrative was read at all; conditional on an interior reading solution, $\tau^0_{i,n}$ has been fully absorbed into $\tau^1_{i,n}$ and does not separately appear. ■

Remark (reading and acquisition can diverge). Consider a household that attributes 40% of inflation to tariffs and 15% each to government spending and government mismanagement, that understands the tariff and spending mechanisms well, and that is uncertain about how mismanagement reaches the prices it pays. By (A.5), it spends longer reading

about mismanagement than about tariffs, because its much higher uncertainty about mismanagement outweighs the larger contribution it attributes to tariffs. It still finishes reading knowing tariffs better: reading brings each narrative's precision up to a level set by its perceived contribution, and the household sees tariffs as contributing more. Offered a chance to learn still more, it directs that chance at tariffs. Reading time points to one narrative and the request for more information to the other, for the same household at the same moment.[28] Proposition 3 applies only to a choice made after reading has occurred, under the technology assumed in Section 3.2. For a choice made at prior beliefs, prior precision still enters (7) directly, and the pull toward less-understood narratives identified after Proposition 2 remains in force.[29]

Remark (corner narratives). If narrative n receives no reading attention ($a^*_{i,n} = 0$, which by (A.5) requires $\tau^0_{i,n} \geq k\bar{\omega}^0_{i,n}$ — a narrative about which the household is already certain relative to the contribution it believes it accounts for), its precision remains $\tau^0_{i,n}$, un-equalized, and the relevant value is $V^0_{i,n}$ rather than Φ; prior understanding then re-enters directly, exactly as in Proposition 2. For the first survey's two assigned narratives, where reading is compelled, the model predicts this case when perceived contribution is small, as for the 263 respondents who rate both shown narratives at zero. It is also the relevant case for a third, unassigned narrative a respondent may also request.

Remark (scope of the extension). Proposition 3 predicts no role for prior uncertainty after reading only if reading equalizes precision across narratives with equal perceived contribution, which follows from the stakes-weighted reading problem in (6). The reading-time evidence in Section 4.2 does not support the stakes implication of that problem, so I do not treat the first survey's estimates for understanding as a test of the framework. Proposition 1 does not depend on the stakes weight: the derivative in (A.6) does not involve $\bar{\omega}^0_{i,n}$.

[28] A numerical instance, with k a free scale parameter: let $\tau^0_{i,\text{tariff}} = \tau^0_{i,\text{spend}} = 0.35k$ and $\tau^0_{i,\text{mis}} = 0.05k$. By (A.5) and (A.4), reading adds precision $a^*_{i,n}/\bar{\sigma}^2 = 0.05k$ on tariffs, $0.10k$ on mismanagement, and nothing on spending, a corner solution. Post-reading precision is therefore $0.40k$ on tariffs, $0.15k$ on mismanagement, and $0.35k$ on spending. Mismanagement receives twice the reading attention of tariffs yet ends with less than half its precision, and by (A.7) a supplementary signal is worth more on tariffs than on mismanagement for any $\tau_s > 0$.

[29] Which effect dominates also depends on the attention technology. Let e denote the elasticity of post-reading precision with respect to perceived contribution: $e = 1$ under the linear-precision technology used here, $e = 2$ under a mutual-information (Shannon) constraint, where $\tau^1_{i,n} = 2(\bar{\omega}^0_{i,n})^2/\lambda$ (Appendix E.1). The elasticity of Φ with respect to perceived contribution is $2 - e(2\tau^1_{i,n} + \tau_s)/(\tau^1_{i,n} + \tau_s)$: positive at $e = 1$, strictly negative at $e = 2$ for any parameter values, so an additively-priced supplementary signal under Shannon reading reverses Proposition 3's sign. If the supplementary signal is itself priced in the same entropy units as reading, the two effects instead cancel exactly and the acquisition value does not depend on perceived contribution at all. Proposition 3 therefore holds under the technology this paper uses throughout, and does not hold under the technology Maćkowiak, Matějka and Wiederholt (2023) take as their own primary framework; Proposition 2 is unaffected either way, since it never refers to reading.

E.4 Belief Updating and Narrative Contributions

This appendix derives the two comparative statics on narrative-contribution updating reported in Section 3.4.

Attention amplifies updating. After observing signal $s_{i,n}$, the household updates via Bayes' rule, with posterior mean $\bar{\omega}^1_{i,n} = (1-\kappa_{i,n})\bar{\omega}^0_{i,n} + \kappa_{i,n} s_{i,n}$ and Kalman gain

$$\kappa_{i,n} = \frac{\sigma^2_{i,n}}{\sigma^2_{i,n} + \bar{\sigma}^2 / a_{i,n}} = \frac{a_{i,n}\sigma^2_{i,n}}{a_{i,n}\sigma^2_{i,n} + \bar{\sigma}^2}. \tag{A.8}$$

The contribution revision is $\Delta\bar{\omega}_{i,n} = \kappa_{i,n}(s_{i,n} - \bar{\omega}^0_{i,n})$, where $s_{i,n} - \bar{\omega}^0_{i,n} \sim \mathcal{N}(0, \sigma^2_{i,n} + \bar{\sigma}^2/a_{i,n})$. Its expected magnitude is

$$\mathbb{E}\big[|\Delta\bar{\omega}_{i,n}|\big] = \sqrt{\tfrac{2}{\pi}} \cdot \frac{\sigma^2_{i,n}}{\left(\sigma^2_{i,n} + \bar{\sigma}^2/a_{i,n}\right)^{1/2}}, \tag{A.9}$$

using $\mathbb{E}[|Z|] = \sqrt{2/\pi}$ for $Z \sim \mathcal{N}(0,1)$. Increasing $a_{i,n}$ decreases $\bar{\sigma}^2/a_{i,n}$ in the denominator, so $\mathbb{E}[|\Delta\bar{\omega}_{i,n}|]$ is strictly increasing in attention. This step is exact: the household's perceived contribution is its belief mean $\bar{\omega}^1_{i,n}$, so the contribution revision is $\Delta\bar{\omega}_{i,n}$ itself.

Uncertainty amplifies updating. Differentiating (A.9) with respect to prior variance, with $c \equiv \bar{\sigma}^2/a_{i,n}$ held fixed:

$$\frac{\partial}{\partial\sigma^2_{i,n}} \frac{\sigma^2_{i,n}}{(\sigma^2_{i,n}+c)^{1/2}} = \frac{\sigma^2_{i,n} + 2c}{2\,(\sigma^2_{i,n}+c)^{3/2}} > 0. \tag{A.10}$$

Higher prior uncertainty (lower confidence in the prior allocation) increases the expected magnitude of contribution revision: $\partial\mathbb{E}[|\Delta\bar{\omega}_{i,n}|]/\partial\sigma^2_{i,n} > 0$. This is a partial derivative holding attention fixed; since optimal attention is itself increasing in $\sigma^2_{i,n}$ (Proposition 1), the total effect is larger still. ■

Corollary 1 (Full-Information and No-Updating Limits)**.** *Fix prior beliefs $(\bar{\omega}^0_{i,n}, \sigma^2_{i,n})$ with $\sigma^2_{i,n} > 0$. (i) As $a_{i,n} \to \infty$, $\kappa_{i,n} \to 1$ and $\bar{\omega}^1_{i,n} \to \bar{\omega}_n$ in mean square: the household adopts the true contribution, whatever its prior. (ii) As $a_{i,n} \to 0$, $\kappa_{i,n} \to 0$, and at $a_{i,n} = 0$, $\bar{\omega}^1_{i,n} = \bar{\omega}^0_{i,n}$: the household does not revise its belief.*

Proof: By (8), $1 - \kappa_{i,n} = \bar{\sigma}^2/(a_{i,n}\sigma^2_{i,n} + \bar{\sigma}^2)$, which tends to 0 as $a_{i,n} \to \infty$ and to 1 as $a_{i,n} \to 0$, with $\kappa_{i,n} = 0$ exactly at $a_{i,n} = 0$. For (i), substituting (5) into $\bar{\omega}^1_{i,n} = \bar{\omega}^0_{i,n} + \Delta\bar{\omega}_{i,n}$ gives $\bar{\omega}^1_{i,n} - \bar{\omega}_n = (1-\kappa_{i,n})(\bar{\omega}^0_{i,n} - \bar{\omega}_n) + \kappa_{i,n}\varepsilon_{i,n}$, so $\mathbb{E}\big[(\bar{\omega}^1_{i,n} - \bar{\omega}_n)^2 \mid \bar{\omega}_n\big] = (1-\kappa_{i,n})^2(\bar{\omega}^0_{i,n} - \bar{\omega}_n)^2 + \kappa^2_{i,n}\bar{\sigma}^2/a_{i,n} \to 0$. ■

The two limits are the benchmarks the expectations literature starts from. With unlimited attention, every household reads the narrative without noise and arrives at the same, cor-

rect contribution: the full-information rational-expectations benchmark, in which beliefs neither err nor disagree. With no attention, the household keeps its prior, like a household in a sticky-information model that has not yet updated its information; between the two, $\kappa_{i,n}$ is the gain of noisy-information models (Coibion and Gorodnichenko, 2015).[30] What this framework adds is that the household chooses where it sits between the two benchmarks, narrative by narrative. Under optimal attention (A.5), $a^*_{i,n}$ grows without bound as $\psi \to 0$. A high enough price puts the household exactly at the second limit: $a^*_{i,n} = 0$, and hence $\kappa_{i,n} = 0$, whenever $\psi \geq (\bar{\omega}^0_{i,n}\sigma^2_{i,n})^2/\bar{\sigma}^2$. For the household of Section 3.1, if it gives the spending narrative no attention, its spending contribution stays at 15% after reading, whatever the text argues.

[30] Under any Gaussian signal, $\kappa_{i,n} = 1 - \tau^0_{i,n}/\tau^1_{i,n}$. Under the mutual-information formulation of Appendix E.1, this equals $1 - e^{-2c_{i,n}}$, where $c_{i,n} = \frac{1}{2}\log(\tau_n/\tau^0_{i,n})$ is the capacity devoted to narrative n, so both limits carry over with $c_{i,n}$ in place of $a_{i,n}$.